



Private Defender

(Management Liability Insurance Policy)

PLEASE READ YOUR POLICY CAREFULLY
If it is not correct, please return it immediately to:

HUDSON EXCESS INSURANCE COMPANY
100 William Street, 5th Floor
New York, NY 10038
212.978.2800

NO FLAT CANCELLATION

HUDSON EXCESS INSURANCE COMPANY

100 William Street, 5th Floor, New York, NY 10038 hereinafter "Insurer"

PRIVATE DEFENDER POLICY DECLARATIONS

NOTICE: THE LIABILITY COVERAGE PARTS SCHEDULED IN ITEM 3 OF THE DECLARATIONS PROVIDE CLAIMS MADE COVERAGE. EXCEPT AS OTHERWISE SPECIFIED HEREIN, COVERAGE APPLIES ONLY TO A CLAIM FIRST MADE AGAINST THE INSURED DURING THE POLICY PERIOD AND PAYMENT OF DEFENSE COSTS REDUCE THE LIMIT OF LIABILITY. KNOWLEDGE OF A CLAIM MUST BE HAD BY CERTAIN INDIVIDUALS EMPLOYED WITHIN THE NAMED INSURED ORGANIZATION BEFORE ANY OBLIGATION TO REPORT SUCH CLAIM TO THE INSURER ATTACHES. NOTICE OF SUCH CLAIM MUST THEN BE GIVEN TO THE INSURER AS SOON AS PRACTICABLE, BUT IN NO EVENT LATER THAN NINETY (90) CALENDAR DAYS AFTER THE TERMINATION OF THE POLICY PERIOD, OR ANY DISCOVERY PERIOD. PLEASE READ THE POLICY CAREFULLY AND DISCUSS THE COVERAGE WITH YOUR INSURANCE AGENT OR BROKER.

This insurance is issued pursuant to the CA INS s 1760 through CA INS s 1780, and is placed in an insurer or insurers not holding a Certificate of Authority from or regulated by the California Insurance Commissioner.

Policy No.

HFP-HE-PRP-9708-032325

ITEM 1. Named Insured: **Elmcourt Group Inc**
Address: **8605 Santa Monica Blvd**
 Unit 46712
 Santa Monica, CA 90404

California Premium: \$15,750.00

Non-Taxable Fees: \$550.00

Taxable Fees: _____

Surplus Lines Tax: \$472.50

Stamping Fee: \$28.35

ITEM 2. Policy Period:

(A) Inception Date: March 23, 2025

(B) Expiration Date: March 23, 2026

12:01 a.m. local time at the address shown in ITEM 1

ITEM 3. Liability Coverage Part Grants:

Only those **Liability Coverage Parts** and optional coverages granted and marked "Yes" are included in this Policy.

A Combined Aggregate Limit of Liability for all **Liability Coverage Parts** of **N/A** has been granted: Yes ____ No X

Defense Outside the Limit of Liability of **N/A** of the Limit of Liability stated in each **Liability Coverage Part** is hereby granted for the following Coverage Parts:

	Yes	No
D&O	☐	☒
EPL	☐	☒
Fiduciary	☐	☒

If both the Combined Aggregate Limit of Liability For All **Liability Coverage Parts** and the Defense Outside the Limit of Liability **N/A** options are selected, the maximum aggregate defense outside the limits paid by the Insurer shall be equal to **N/A** of the Combined Aggregate Limit of Liability for all **Liability Coverage Parts**.

Additional Limit of Liability under the Directors, Officers and Company Liability Coverage Part for Insuring Agreement I. (A) Claims under section IV. Is granted? Yes ____ No **X**

Director, Officers and Company Liability Coverage Part: Granted: Yes **X** No ____

1. Limit of Liability:
 - a. **\$1,000,000** aggregate Limit of Liability for all **Loss** under this Coverage Part
 - b. **\$0** additional aggregate for **Claims** covered pursuant to Section IV. under this Coverage Part (if granted), subject to the maximum limit set forth in 1.e. below
 - c. **\$0** additional aggregate for all **Defense Costs** (if granted), subject to the maximum limit set forth in 1.e. below
 - d. **\$0** sub-limit of liability (if granted) under Insuring Agreement I (D)
 - e. **\$1,000,000** maximum aggregate Limit of Liability for this Coverage Part
2. Retention:
 - a. **\$0** each Claim under Insuring Agreement I (A)
 - b. **\$35,000** each Claim under Insuring Agreement I (B)
 - c. **\$35,000** each Claim under Insuring Agreement I (C)
 - d. **\$0** each Claim under Insuring Agreement I (D)
3. Prior or Pending Date: **March 23, 2023**

Employment Practices Liability Coverage Part: Granted: Yes ____ No **X**

1. Limit of Liability:
 - a. **N/A** aggregate Limit of Liability for all **Loss** under this Coverage Part
 - b. **N/A** additional aggregate for all **Defense Costs** (if granted), subject to the maximum limit set forth in 1.c. below
 - c. **N/A** maximum aggregate for this Coverage Part
2. Retention:

N/A each **Employment Practices Claim**
3. Prior or Pending Date: **N/A**
4. **Third Party Claim** Sublimits Coverage Granted: Yes ____ No **X**
 - a. **Third Party Claim** Prior or Pending Date: **N/A**
(applicable only if **Third Party Claim** Coverage is granted)

- b. **Third Party Claim** Sub-limit of Liability of **N/A**
(applicable only if **Third Party Claim Sublimits** Coverage is granted and part of and not in addition to the limit set forth in 1. a. above)
- c. **Third Party Claim** Retention **N/A**
(applicable only if **Third Party Claim** Coverage is granted)

Fiduciary Liability Coverage Part: Granted: Yes ____ No **X**

- 1. Limit of Liability:
 - a. **N/A** aggregate for all **Loss** under this Coverage Part
 - b. **N/A** additional aggregate for **Defense Costs** (if granted), subject to the maximum limit set forth in 1.c. below
 - c. **N/A** maximum aggregate for this Coverage Part
- 2. Retention: **N/A** each **Claim** under this Coverage Part
- 3. Prior or Pending Date: **N/A**
- 4. Settlement Program Coverage Granted: Yes ____ No **X**
If "Yes", a sub-limit of liability of **N/A** shall apply and shall be subject to a Retention of **N/A** each Claim. The sublimit is part of and not in addition to the limit set forth in 1. a. above.
- 5. HIPAA Sub-limit of liability
The following sub-limit of liability shall apply: **N/A** and shall be subject to the Retention in paragraph number 2 above and be part of and not in addition to the limit set forth in 1. a. above.

ITEM 4. Discovery Period:

- (A) Duration: **1 Year**
- (B) Premium*: **\$23,625**

*The Premium for the Discovery Period granted shall be the indicated percentage of the sum of the annual premium specified for all **Liability Coverage Parts** plus the annualized amounts of any additional premiums charged during the **Policy Period**. The Discovery Period is not applicable to and not available for the **Crime Coverage Part**.

ITEM 5. Form Number and Endorsements Attached at Issuance:

Form No. **HFP-HSIC-PD (01/10)**

Endorsements:

- 1. **IL 09 85 01 21 (01/21) - Disclosure Pursuant to Terrorism Risk Insurance Act**
- 2. **PD-MultiAmEx.2 (3/10) - Past Acts Exclusion**

3. PD-MultiAmEx.11 (11/11) - Intellectual Property Rights Exclusion Endorsement
4. PD-MultiAmEx.36 (11/15) - Wage and Hour Exclusion
5. PD-MultiAmEx.83 (6/2024) - Crisis Management Expenses Sublimit Endorsement
6. PD-GTC-AM.16 (12/09) - Amend Changes in Exposure - Asset Threshold
7. PD-DO-EX.26 (07/15) - Breach of Contract Exclusion
8. PD-DO-EX.28 (1/13) - Major Shareholder Exclusion
9. PD-DO-EX.34 (12/12) - Advertising / Publishing / Broadcasting Exclusion - Entity Only
10. PD-DO-EX.35 (07/14) - Cyber/Privacy Exclusion
11. PD-DO-EX.43 (07/16) - Product/Services Efficacy Exclusion
12. PD-DO-EX.70 (09/16) - Exclude Employment Practice Claims
13. X-19 (01/21) - Cap on Losses from Certified Acts of Terrorism
14. SS-CA (05/17) - Service of Suit Endorsement - California

ITEM 6. Crime Coverage Part Granted: Yes___ No X

In consideration of the payment of premium and subject to all the terms of the Policy the Insurer agrees to provide the following **Crime Coverage Part**.

1. Coverages, Limits of Insurance, Retentions:

Insuring Agreements, Limits of Insurance and Retention Amounts shown below are subject to all of the terms of this **Crime Coverage Part** that apply.

	Limit(s) of Insurance	Retention Amount(s)
Insuring Agreements Forming Part of This Crime Coverage Part		
1. Employee Theft	N/A	N/A
2. Depositors Forgery or Alteration	N/A	N/A
3. Inside The Premises – Money, Securities and Other Property	N/A	N/A
4. Outside The Premises – Money, Securities and Other Property	N/A	N/A
5. Computer and Funds Transfer Fraud	N/A	N/A
6. Money Orders and Counterfeit Currency	N/A	N/A

2. Cancellation of Prior Insurance: By acceptance of this **Crime Coverage Part** you give us notice of canceling prior policies or bonds numbered

N/A

The cancellation(s) is effective at the time this **Crime Coverage Part** becomes effective.

Hudson Excess Insurance Company

100 William Street, 5th Floor

New York, NY 10038

Hereinafter "Insurer"

ITEM 7. Address For Notices to Insurer:

Send Claims related notices to:

Hudson Insurance Group
ATTN: **Claims Department**
100 William Street, 5th Floor
New York, NY 10038

or **HFP-Claims**
@HudsonInsGroup.com

Send all other notices to:

Hudson Insurance Group
ATTN: **Underwriting**
100 William Street, 5th Floor
New York, NY 10038

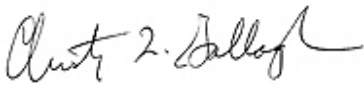
or **HFP-PrivateUnderwriting**
@HudsonInsGroup.com

ITEM 8. Premium: \$15,750

In witness whereof, the Insurer has caused this Policy to be signed by its President and Secretary, but it shall not be valid unless also signed by a duly authorized representative of the Insurer.

04/09/2025

Date

By: 

Authorized Representative



IMPORTANT NOTICE:

- 1. The insurance policy that you have purchased is being issued by an insurer that is not licensed by the State of California. These companies are called "nonadmitted" or "surplus line" insurers.**
- 2. The insurer is not subject to the financial solvency regulation and enforcement that apply to California licensed insurers.**
- 3. The insurer does not participate in any of the insurance guarantee funds created by California law. Therefore, these funds will not pay your claims or protect your assets if the insurer becomes insolvent and is unable to make payments as promised.**
- 4. The insurer should be licensed either as a foreign insurer in another state in the United States or as a non-United States (alien) insurer. You should ask questions of your insurance agent, broker, or "surplus line" broker or contact the California Department of Insurance at the toll-free number 1-800-927-4357 or internet website www.insurance.ca.gov. Ask whether or not the insurer is licensed as a foreign or non-United States (alien) insurer and for additional information about the insurer. You may also visit the NAIC's internet website at www.naic.org. The NAIC—the National Association of Insurance Commissioners—is the regulatory support organization created and governed by the chief insurance regulators in the United States.**
- 5. Foreign insurers should be licensed by a state in the United States and you may contact that state's department of insurance to obtain more information about that insurer. You can find a link to each state from this NAIC internet website: https://naic.org/state_web_map.htm.**



- 6. For non-United States (alien) insurers, the insurer should be licensed by a country outside of the United States and should be on the NAIC's International Insurers Department (IID) listing of approved nonadmitted non-United States insurers. Ask your agent, broker, or "surplus line" broker to obtain more information about that insurer.**
- 7. California maintains a "List of Approved Surplus Line Insurers (LASLI)." Ask your agent or broker if the insurer is on that list, or view that list at the internet website of the California Department of Insurance:
www.insurance.ca.gov/01-consumers/120-company/07-lasli/lasli.cfm.**
- 8. If you, as the applicant, required that the insurance policy you have purchased be effective immediately, either because existing coverage was going to lapse within two business days or because you were required to have coverage within two business days, and you did not receive this disclosure form and a request for your signature until after coverage became effective, you have the right to cancel this policy within five days of receiving this disclosure. If you cancel coverage, the premium will be prorated and any broker's fee charged for this insurance will be returned to you.**

PRIVATE DEFENDER POLICY

GENERAL TERMS AND CONDITIONS PART

EXCEPT WITH RESPECT TO THE CRIME COVERAGE PART, THIS IS A CLAIMS MADE INSURANCE POLICY WITH DEFENSE EXPENSES INCLUDED WITHIN THE LIMIT OF LIABILITY. PLEASE CAREFULLY REVIEW THE ENTIRE POLICY.

In consideration of the payment of the premium it is agreed that this Policy shall be comprised of the Declarations, this General Terms and Conditions Part, all Coverage Parts granted within the Declarations (including any endorsements and other attachments), and the **Application** and shall hereinafter be referenced as "this Policy". In addition the Insurer and the **Insureds** agree as follows with respect to this Part and all Coverage Parts of this Policy.

I. GENERAL TERMS AND CONDITIONS

All Coverage Parts included in this Policy are subject to the General Terms and Conditions set forth in this Part of the Policy. If any provision in these General Terms and Conditions is inconsistent or in conflict with the terms and conditions of any Coverage Part, the terms and conditions of such Coverage Part shall control for purposes of such Coverage Part. The terms and conditions of each Coverage Part shall apply only to such Coverage Part, unless otherwise specifically stated to the contrary.

II. DEFINITIONS

The following terms shall have the meanings specified below:

(A) "Affiliate" means any insurance company controlling, controlled by or under common control with the Insurer.

(B) "Application" means the application for this Policy, which shall be deemed to be a part of this Policy and attached to it, regardless of physical attachment, including any materials or information submitted therewith or made available to the Insurer during the underwriting process, which application shall be on file with the Insurer.

Application shall also mean the application for any policy in an uninterrupted series of policies issued by the Insurer or any **Affiliate** of which this Policy is a renewal or replacement.

(C) "Claim" shall have the meaning specified for such term in each Coverage Part.

(D) "Company" means:

- (1) the **Named Insured**; or
- (2) any **Subsidiary**.

Company shall include any such entity as a Debtor in Possession as that term is defined in Chapter 11 of the United States Bankruptcy Code as well as any equivalent status under any similar law.

Company shall also include any such entity in its capacity as a general partner of a **Controlled Partnership**.

- (E) "**Controlled Partnership**" means a limited partnership in which and so long as the **Named Insured** owns or controls, directly or indirectly, more than 50% of the limited partnership interest and in which a **Company** is the sole general partner.
- (F) "**Defense Costs**" means all reasonable and necessary legal fees and expenses incurred in the defense or investigation of any **Claim** after such **Claim** has been made, and shall also include the reasonable and necessary expenses in connection with any appeal of such **Claim** or in connection with an **Extradition**, but shall not include the **Company's** overhead expenses or any salaries, wages, fees, or benefits of any **Insured Person** or agents or **Employees** of the **Company**.
- (G) "**Extradition**" means any formal and lawful process or proceeding commenced against an **Insured Person** located in any jurisdiction in an attempt to obtain the voluntary or involuntary surrender of such **Insured Person** to another jurisdiction in connection with a **Claim**.
- (H) "**Employee**" shall mean any past, present or future employee of the **Company**, including any part-time, seasonal or temporary employee, acting solely in his or her capacity as such.

Employee shall also mean any person leased to the **Company**, but only if the **Company** indemnifies such leased person in the same manner as is provided to the **Company's** permanent employees. Any person hired by contract to perform work for the **Company**, or who is an independent contractor for the **Company**, shall also be an **Employee**, but only if the **Company** indemnifies the person in the same manner as is provided to the **Company's** permanent employees. However, this definition of **Employee** shall hereby expressly not apply for purposes of the Crime Coverage Part of this Policy.

- (I) "**ERISA**" means the Employee Retirement Income Security Act of 1974 including any amendments thereto and any rules or regulations promulgated thereunder.
- (J) "**Financial Insolvency**" means the status of a **Company** as a result of the

appointment of any conservator, liquidator, receiver, rehabilitator, trustee, or similar official to control, supervise, manage or liquidate such **Company**; or such **Company** becoming a Debtor in Possession.

- (K) **"Insured Executive"** means any or all of the following:
- (1) a past, present or future duly elected director, duly appointed officer or duly elected or appointed member of a board of managers of the **Company**, including any general counsel who is also an employee of the **Company** and other employed lawyers who are both employees and duly appointed officers of the **Company**;
 - (2) the functional equivalent of such director, officer or manager of the **Company** when serving in such capacity outside the United States of America; or
 - (3) any duly elected or appointed member of a Medical, Scientific, or Technology Advisory Board of the **Company** in such person's capacity in such position.
- (L) **"Insured Person"** shall have the meaning specified, if any, for such term in each Coverage Part.
- (M) **"Insureds"** shall have the meaning specified, if any, for such term in each Coverage Part.
- (N) **"Interrelated Wrongful Acts"** means **Wrongful Acts** that are logically, causally or otherwise related based upon, arising from, resulting from, or in consequence of the same or related facts, circumstances, situations, transactions, causes or events, regardless of whether such **Wrongful Acts** are alleged by way of a single or multiple **Claims** under this Policy or any other policy in effect prior to the inception of the **Policy Period**.
- (O) **"Liability Coverage Part"** means the Directors and Officers Liability, Employment Practices Liability and Fiduciary Liability Coverage Parts, if granted and marked "YES" in **ITEM 3** of the Declarations.
- (P) **"Loss"** shall have the meaning specified, if any, for such term in each Coverage Part of this Policy.
- (Q) **"Named Insured"** means the entity named in **ITEM 1** of the Declarations.
- (R) **"Policy Period"** means the period set forth in **ITEM 2** of the Declarations, or any shorter period resulting from termination of this Policy pursuant to its terms and conditions.
- (S) **"Pollutants"** means any solid, liquid, gaseous or thermal irritant, nuisance or

contaminant, including, without limitation, smoke, vapor, soot, fumes, acids, alkalis, chemicals, odors, noise, lead, oil or oil product, radiation, asbestos or asbestos-containing product, waste and any electric, magnetic or electromagnetic field of any frequency. Waste includes, without limitation, material to be recycled, reconditioned or reclaimed. **Pollutants** also means any substance located anywhere in the world identified on a list of hazardous substances or emissions issued by any federal agency or any state, local or foreign equivalent thereof.

(T) **"Subsidiary"** means any:

- (1) corporation in which and so long as the **Named Insured** owns or controls, directly or indirectly, more than 50% of the outstanding securities representing the right to vote for the election of the board of directors of such corporation;
- (2) limited liability company in which and so long as the **Named Insured** owns or controls, directly or indirectly, the right to elect, appoint or designate more than 50% of such entity's managers;
- (3) **Controlled Partnership**;
- (4) corporation operated as a joint venture in which and so long as the **Named Insured** owns or controls, directly or indirectly, exactly 50% of the issued and outstanding voting stock and which, pursuant to a written agreement with the owner(s) of the remaining issued and outstanding voting stock of such corporation, the **Named Insured** solely controls the management and operation of such corporation; or
- (5) foundation, charitable trust or political action committee in which and so long as such entity or organization is controlled by the **Named Insured** or any **Subsidiary** as defined (1) through (4) above.

(U) **"Wrongful Act"** shall have the meaning specified, if any, for such term in each Coverage Part.

III. COVERAGE EXTENSIONS

(A) **Spouses and Domestic Partners**

Coverage under this Policy shall extend to the lawful spouse or domestic partner of an **Insured Person** for a **Claim** made against such spouse or domestic partner, provided that:

- (1) the **Claim** arises solely from:
 - (a) such person's status as the spouse or domestic partner of an **Insured Person**; or

(b) such spouse's or domestic partner's ownership of property, and the property is sought solely as a source of recovery for a **Wrongful Act** by an **Insured Person**;

(2) the **Insured Person** is named in such **Claim** together with the spouse or domestic partner; and

(3) coverage of the spouse or domestic partner shall be on the same terms and conditions, including any applicable Retention, as apply to coverage of the **Insured Person** for such **Claim**.

No coverage shall apply to any **Loss** resulting from any act, error or omission of such spouse or domestic partner.

(B) Estates and Legal Representatives

In the event of the death, incapacity or bankruptcy of an **Insured Person**, any **Claim** made against the estate, heirs, legal representatives or assigns of such **Insured Person** for a **Wrongful Act** of such **Insured Person** shall be deemed to be a **Claim** made against such **Insured Person**. No coverage shall apply to any **Loss** directly resulting from any act, error or omission of such estate, heirs, legal representatives or assigns.

IV. LIMIT OF LIABILITY

With respect to all Coverage Parts and **Liability Coverage Parts** of this Policy:

(A) The Limit of Liability for each **Liability Coverage Part** in **ITEM 3** of the Declarations shall be the maximum aggregate amount that the Insurer shall pay under such **Liability Coverage Part** for all **Loss** from all **Claims** covered under such **Liability Coverage Part**.

(B) Notwithstanding the above, if a Combined Aggregate Limit of Liability For All Coverage Parts is granted in **ITEM 3** of the Declarations, then:

(1) such single Limit of Liability shall be the maximum aggregate amount that the Insurer shall pay for all **Loss** covered under all included Coverage Parts combined; and

(2) any amount specified as a Limit of Liability for any individual Coverage Part in **ITEM 3** of the Declarations shall be subject to, part of, and not in addition to, the amount stated as the Combined Aggregate Limit of Liability For All Coverage Parts.

(C) At such time as any Limit of Liability under any Coverage Part of this Policy is exhausted, the premium for this Policy shall be deemed fully earned.

V. DEFENSE COSTS

Solely with respect to all **Liability Coverage Parts** of this Policy:

- (A) **Defense Costs** shall be part of, and not in addition to, each applicable Limit of Liability. Payment of **Defense Costs** by the Insurer shall reduce each Limit of Liability.
- (B) Notwithstanding the above, if Defense Outside the Limit of Liability is included in **ITEM 3** of the Declarations, then payment of **Defense Costs** shall be in addition to any applicable Limit of Liability, provided that:
 - (1) if a Limit of Liability is specified for any individual **Liability Coverage Part** in **ITEM 3** of the Declarations, then the maximum aggregate amount that the Insurer shall pay for all **Defense Costs** from all **Claims** covered under such **Liability Coverage Part** shall be limited and capped by the percentage of the Limit of Liability indicated within **ITEM 3** of the Declarations .
 - (2) if a Combined Aggregate Limit of Liability For All Coverage Parts is included in **ITEM 3** of the Declarations, then:
 - (a) the single maximum aggregate amount that the Insurer shall pay for all **Defense Costs** from all **Claims** covered under all included **Liability Coverage Parts** combined shall be the percentage amount stated in **ITEM 3** of the Declarations and shall only be a percentage of the Combined Aggregate Limit of Liability For All **Liability Coverage Parts**; and
 - (b) any amount of **Defense Costs** available for any individual Coverage Part shall be subject to, part of, and not in addition to, the single maximum amount of **Defense Costs** available for all included Coverage Parts combined specified in Section V. (B) (2) (a), above; and
 - (3) if the amount available for Defense **Costs** in Sections V. (B) (1) or (2), above is exhausted by the payment of **Defense Costs**, then **Defense Costs** shall be paid by the Insurer solely from any remaining applicable Limit of Liability until the exhaustion of the applicable Limit of Liability.

VI. RETENTIONS

Solely with respect to the **Liability Coverage Parts** of this Policy:

- (A) The Insurer shall pay **Loss** only in excess of the Retention applicable to each **Claim** as specified in **ITEM 3** of the Declarations.
- (B) All Retentions shall be borne by the **Insureds** at their own risk, and shall not be insured under any other insurance policy.
- (C) Any **Defense Costs** incurred by the Insurer and paid at its discretion on behalf

of the **Insureds** shall be applied to the Retention. Although nothing in this provision affects the obligation, if any, of the Insurer to make any such payments, the **Insureds** shall reimburse the Insurer upon request for any **Defense Costs** paid that are within an applicable Retention.

- (D) If a **Claim** is covered under more than one **Liability Coverage Part**, the applicable Retention for each **Liability Coverage Part** shall be applied separately to such **Claim**, provided that the maximum Retention applied to such **Claim** shall not exceed the highest of all applicable Retentions.
- (E) No Retention shall apply to **Loss** incurred by any **Insured Person** that a **Company** is not legally permitted to indemnify, or for which the **Company** is unable to legally indemnify by reason of its **Financial Insolvency**.
- (F) If any **Company** is permitted or required by law to indemnify an **Insured Person** for **Loss**, or to advance **Defense Costs** on their behalf, and does not do so other than because of **Financial Insolvency**, then the **Company** and **Named Insured** shall be jointly and severally obliged to reimburse and hold harmless the Insurer for the Insurer's payment or advancement of such **Loss** up to the amount of the Retention that would have applied if such indemnification had been made.

VII. DEFENSE AND SETTLEMENT

Solely with respect to the **Liability Coverage Parts** of this Policy and unless specifically stated to the contrary within such Coverage Part:

- (A) The insurer shall have the right and duty to defend any **Claim** for which the **Insureds** give notice to the Insurer, even if such **Claim** is groundless, false or fraudulent. The Insurer may make any investigation of such **Claim** it deems appropriate.
- (B) The Insurer's duty to defend a **Claim** shall cease upon exhaustion of any applicable Limit of Liability.

Notwithstanding the above, if Defense Outside the Limit of Liability is included in **ITEM 3** of the Declarations then the Insurer's duty to defend any **Claim** shall cease upon exhaustion of the maximum aggregate amount of **Defense Costs** available under Section V. DEFENSE COSTS, and any applicable Limit of Liability.

- (C) The **Insureds** shall not admit nor assume any liability, enter into any settlement agreement, stipulate to any judgment, or incur any **Defense Costs** regarding any **Claim** without the prior written consent of the Insurer, such consent not to be unreasonably withheld. The Insurer shall not be liable for any admission, assumption, settlement, stipulation, or **Defense Costs** to

which it has not consented.

- (D) If with respect to any **Claim** the **Insureds** consent to the first settlement opportunity which is recommended by the Insurer and which is acceptable to the claimant, the applicable Retention for **Loss** on account of such **Claim** shall be retroactively reduced 10%. If the **Insureds** refuse to consent to a settlement opportunity acceptable to the claimant in accordance with the Insurer's recommendation, then with respect to all **Loss** (inclusive of **Defense Costs**) on account of such **Claim** which exceeds the amount for which such **Claim** could have been settled by the Insurer plus **Defense Costs** incurred prior to the date the **Insureds** first refused to consent to the proposed settlement of such **Claim**, the Insurer shall be liable under this Policy solely for 80% of the amount of **Loss** (inclusive of **Defense Costs**).
- (E) Notwithstanding the above, if Defense Outside the Limit of Liability is included in **ITEM 3** of the Declarations, then the Insurer may settle any **Claim** for a monetary amount that the Insurer deems reasonable and the consent of the **Insureds** shall not be required to settle such **Claim**.
- (F) As a condition precedent to any payment obligations of the Insurer under this Policy, the **Insureds**, severally according to their interests, shall provide the Insurer all information and cooperation as the Insurer may reasonably request to enable it to assess the causation, liability and damages issues and exposure with respect to such **Insureds**.

VIII. AWARENESS OF WRONGFUL ACT OR CIRCUMSTANCES AND NOTICE OF CLAIM AND OTHER MATTERS

Solely with respect to all **Liability Coverage Parts** of this Policy:

- (A) If, during the **Policy Period**, any **Insured** first becomes aware of a **Wrongful Act** or circumstances that might reasonably be expected to give rise to a **Claim** for a **Wrongful Act** and if, during such **Policy Period**, the **Insured** provides the **Insurer** with written notice of the specific circumstances and actual, alleged or potential **Wrongful Act**, the consequences which have resulted or may result from such **Wrongful Act** or circumstances (including but not limited to actual or potential damages), the identities or descriptions of potential claimants, and the manner in which the Insured first became aware of such circumstances or **Wrongful Act**, then, any **Claim** subsequently made arising from such **Wrongful Act** or circumstances will be treated as if it had been first made during the **Policy Period**.
- (B) Any and all **Claims** and **Securities Holder Derivative Demands** shall be reported to the Insurer as soon as practicable after they are first made against an **Insured** and first known by either the **Company's** chief executive officer, chief financial officer, chief operating officer, general counsel or risk

manager, but in no event later than ninety (90) days after the termination of the **Policy Period**, or **Discovery Period**, if applicable.

- (C) All notices intended for the Insurer under this Policy, whether with regard to **Claims, Wrongful Acts**, circumstances or any other matter pertaining to this policy, should be directed to the appropriate address set forth in **ITEM 7** of the Declarations.

IX. DISCOVERY PERIOD

Solely with respect to all **Liability Coverage Parts** of this Policy:

- (A) If either the **Named Insured** or the Insurer does not renew this Policy, the **Insureds** shall have the right, upon payment of the additional premium set forth in **ITEM 4** of the Declarations, to an extension of the insurance provided by this Policy with respect solely to any **Claim** first made during the Discovery Period set forth in **ITEM 4** of the Declarations, but only with respect to a **Wrongful Act** occurring prior to the termination of the **Policy Period**.
- (B) As a condition precedent to the right to purchase the Discovery Period, the total premium for this Policy must have been paid in full. The right of the **Insureds** to purchase the Discovery Period will be immediately terminated if the Insurer does not receive written notice from or on behalf of an **Insured** advising that any or all **Insureds** wish to purchase the Discovery Period together with full payment of the premium for the Discovery Period on a non-refundable basis within thirty (30) days after the termination of the **Policy Period**.
- (C) The purchase of the Discovery Period will not in any way increase the Limit of Liability set forth in **ITEM 3** of the Declarations, and the Limit of Liability with respect to **Claims** made during the Discovery Period shall be part of and not in addition to the Limit of Liability for all **Claims** made during the **Policy Period**.

This Section IX, DISCOVERY PERIOD, shall not apply to the Crime Coverage Part of this Policy.

X. RELATED CLAIMS

Solely with respect to all **Liability Coverage Parts** of this Policy:

All **Claims** based upon, arising from or in any way related to the same **Wrongful Act or Interrelated Wrongful Acts** shall be deemed to be a single **Claim** for all purposes under this Policy first made on the earliest date that:

- (A) any of such **Claims** was first made, regardless of whether such date is before or during the **Policy Period**;

- (B) notice of any **Wrongful Act** described above was given to the Insurer under this Policy pursuant to Section VIII. (A);
- (C) notice of any **Wrongful Act** described above was given under any prior insurance policy, whether issued by the Insurer, an **Affiliate** or any other insurance company.

XI. ALLOCATION

Solely with respect to all **Liability Coverage Parts** of this Policy:

Where **Insureds** who are afforded coverage for a **Claim** incur an amount consisting of both **Loss** that is covered by this Policy and also amounts that are not covered by this Policy because such **Claim** includes both covered and uncovered matters or covered and uncovered parties, then coverage shall apply as follows:

- (A) 100% of **Defense Costs** shall be allocated to covered **Loss**; and
- (B) **Loss** other than **Defense Costs** shall be allocated between covered **Loss** and non-covered amounts based upon the relative legal exposure of all parties to such matters.

XII. OTHER INSURANCE

Except for the Employment Practices Liability Coverage Part, if **Loss** arising from any **Claim** is insured under any other valid and collectible policy or policies, then this Policy shall apply only in excess of the amount of any deductibles, retentions and limits of liability under such other policy or policies, whether such other policy or policies are stated to be primary, contributory, excess, contingent or otherwise, unless such other insurance is written specifically excess of this Policy by reference in such other policy or policies to this Policy's Policy Number.

XIII. CANCELLATION AND NON-RENEWAL

- (A) The **Named Insured** as listed in **ITEM 1** of the Declarations or any duly authorized party acting on its behalf shall have the exclusive right to cancel this Policy on behalf of any or all **Insureds**. Such cancellation may be effected by mailing to the Insurer written notice stating when such cancellation shall be effective, provided the date of cancellation is not later than the Expiration Date set forth in **ITEM 2 (B)** of the Declarations. In such event, the Insurer shall retain the customary short rate portion of the earned premium. Return or tender of the unearned premium is not a condition of cancellation.
- (B) The Insurer may cancel this Policy only for nonpayment of premium. In such event, the Insurer will deliver or mail written notice of cancellation to the **Named Insured** at the address stated in **ITEM 1** of the Declarations not less than twenty days (20) before the effective date of cancellation. The notice will state

the reason for cancellation.

- (C) The Insurer is under no obligation to renew this Policy upon its expiration. Upon the Insurer's election to non-renew this Policy, the Insurer will deliver or mail written notice of non-renewal to the **Named Insured**, at the address listed in **ITEM 1** of the Declarations at least sixty (60) days before the Expiration Date set forth in **ITEM 2 (B)** of the Declarations.

XIV. CHANGES IN EXPOSURE

Solely with respect to all **Liability Coverage Parts** of this Policy:

- (A) If, during the **Policy Period**, the **Company** consummates any of the following transactions:

- (1) makes an asset acquisition;
- (2) acquires any entity, including one that is a **Subsidiary**; or
- (3) assumes the liability of another entity,

then, insurance under this Policy shall only apply to a **Claim** for a **Wrongful Act** involving such assets or entities and first made against an **Insured**, provided that such **Wrongful Act** is committed or alleged to have been committed after such transaction closes.

- (B) If, during the **Policy Period**, any entity ceases to be a **Subsidiary**, such **Subsidiary** and its **Insured Persons** shall only be covered under this Policy with respect to a **Claim** for a **Wrongful Act** that occurred or allegedly occurred prior to the time such entity ceased to be a **Subsidiary**.

- (C) If, during the **Policy Period**, there is a "change in control" of the **Named Insured** listed in **ITEM 1** of the Declarations, the coverage provided under this Policy shall continue to apply but only with respect to a **Claim** for a **Wrongful Act** occurring prior to the time of the "change in control". The entire premium for the Policy will be deemed to be fully earned immediately upon the consummation of the "change in control" transaction.

"Change in control" means:

- (1) the merger or acquisition of the **Named Insured** listed in **ITEM 1** of the Declarations, or of all or substantially all of its assets, by any other entity such that another entity becomes the surviving entity; or
- (2) the acquisition by any person, entity, or affiliated group or persons or entities of the right to vote for, select, or appoint more than fifty percent

(50%) of the directors of the **Named Insured** listed in **ITEM 1** of the Declarations.

XV. SUBROGATION

In the event of any payment under this Policy, the Insurer shall be subrogated to all of the potential or actual rights of recovery of the **Company** and the **Insured Persons**. The **Company**, through its **Employees** or other agents, and the **Insured Persons** shall execute all papers required and will do everything necessary to secure such rights including but not limited to the execution of such documents as are necessary to enable the Insurer to effectively bring suit in their name, and will provide all other assistance and cooperation which the Insurer may reasonably require. The Insurer does not waive, compromise or release any of its rights to recover **Loss** paid under this Policy from the issuers of any other insurance under which coverage may be owed.

XVI. REPRESENTATIONS AND SEVERABILITY

It is agreed by the **Insureds** that the particulars and statements contained in the **Application** and any information provided therewith (which shall be on file with the Insurer and attached hereto as if physically attached hereto) are the basis of this Policy and are to be considered as incorporated in and constituting a part of this Policy. It is further agreed by the **Insureds** that the statements in the **Application** or in any information provided therewith are their representations, that they are material and that this Policy is issued in reliance upon the truth of such representations; provided, in the event that the **Application** contains misrepresentations made with the actual intent to deceive, or contains misrepresentations which materially affect either the acceptance of the risk or the hazard assumed by the Insurer under this Policy, this Policy shall be void and have no effect whatsoever with respect to those **Insureds** who made or had knowledge of such misrepresentations. Knowledge of any matter which may give rise to a **Claim** or any misrepresentation made by the **Company's** Chief Executive Officer or Chief Financial Officer shall be imputed to the **Company**, but will not be imputed to any **Insured Person** who had no knowledge of the matter which may give rise to a **Claim** or the misrepresentation with respect thereto.

XVII. ACTION AGAINST THE INSURER

Solely with respect to all **Liability Coverage Parts** of this Policy:

- (A)** Except for an action undertaken by or on behalf of an **Insured**, no action may be taken against the Insurer unless, as a condition precedent thereto:
 - (1)** there has been full compliance with all of the terms and conditions of this Policy; and
 - (2)** the amount of any liability of the Insured has been finally determined

either by judgment against such Insured after actual trial, or by written agreement of the Insured, the claimant and the Insurer.

- (B) Nothing contained herein shall give any person or entity the right to join the Insurer as a party to any **Claim** against an **Insured** to determine its liability, nor may an **Insured** implead or join the Insurer in any such **Claim**.
- (C) Assignment of the interest of any **Insured** under this Policy shall not bind the Insurer unless its consent is endorsed hereon.

Solely with respect to the Crime Coverage Part of this Policy:

- (D) No legal action shall be taken against the Insurer involving loss unless the **Insured** has complied with all the terms of this Policy;
- (E) No legal action shall be taken against the insurer involving loss until ninety (90) days after the Insured has filed proof of loss with us; and
- (F) No legal action shall be taken against the insurer involving loss unless such action is brought within two (2) years from the date that the **Insured** discovers such loss.

XVIII. INSOLVENCY OF THE COMPANY AND WAIVER OF AUTOMATIC STAY IN BANKRUPTCY

In the event that an insolvency or bankruptcy proceeding is commenced by or against the **Company**, the **Company** waives and releases any automatic stay or injunction which may apply to its benefit and advantage in such proceeding in connection with this Policy or its proceeds, and agrees not to oppose or object to any efforts by the Insurer or any **Insured Person** to obtain relief from any such stay or injunction that may be applied against their interests.

However, the rights of an **Insured Person** or the **Company** under this Policy shall not otherwise be affected by the bankruptcy or insolvency of the **Company** or any other **Insured Person**.

XIX. AUTHORIZATION AND NOTICES

The **Named Insured** as set forth in **ITEM1** of the Declarations will act on behalf of any and all **Insureds** with respect to the giving and receiving of notices involving the Insurer and this Policy, as well as payment and any other action with regard to premiums.

XX. ENTIRE AGREEMENT

The Insureds agree that this Policy shall constitute the entire agreement between the Insurer and the **Insureds** in relation to the insurance afforded under the Policy.

Notice to any agent or knowledge possessed by any agent or other person acting or purporting to act on behalf of the Insurer will not cause a waiver or change in any part of this Policy or prevent the Insurer from asserting any right under the terms, conditions and limitations of this Policy. The terms, conditions and limitations of this Policy may only be waived or changed by written endorsement to the Policy signed by the Insurer.

XXI. HEADINGS, TITLES, NUMBER AND GENDER

Any headings or titles used with respect to any section or sub-section in this Policy are solely for descriptive convenience and shall not be construed as substantive provisions for purposes of interpreting any provision in the Policy.

Wherever used in this Policy, whether in defined or undefined terms, the singular number shall include the plural and vice versa. All personal pronouns shall include the female, male and neutral versions, regardless of which form is used, unless specific provision is made for a natural person as opposed to an entity.

XXII. TERRITORY AND CURRENCY

Insurance provided under this Policy shall apply to Claims that are made anywhere in the world.

The premiums, limits, Loss and other amounts set forth in this Policy are expressed and payable in the currency of the United States of America. If judgment is rendered, settlement is denominated or another element of Loss under this Policy is stated in a currency other than United States of America dollars, payment under this Policy shall be made in such dollars at the applicable rate of currency exchange published in The Wall Street Journal on the date the judgment becomes final or payment of the settlement or other element of Loss is due.

XXIII. CONFORMITY TO STATUTE AND REGULATION

If any provision in this Policy conflicts with any mandatory applicable law, regulation or rule or the provisions of a state amendatory endorsement attached to this Policy as required by applicable state insurance law, regulation or rule, then the terms of such law, regulation, rule or amendatory endorsement shall apply in place of the Policy provision.

PRIVATE DEFENDER POLICY

DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART

I. INSURING AGREEMENTS

(A) Executive and Employee Liability

Except for **Loss** which the Insurer pays pursuant to Insuring Agreement (B) of this Coverage Part, the Insurer will pay **Loss** on behalf of an **Insured Person**, which such **Insured Person** has become legally liable to pay as a result of a **Claim** first made against them during the **Policy Period** or Discovery Period, if applicable, for a **Wrongful Act** that takes place during or prior to the **Policy Period**.

(B) Company Indemnification Liability

The Insurer will pay **Loss** on behalf of the **Company** for which the **Company** has, to the extent permitted or required by applicable law, indemnified an **Insured Person**, and which such **Insured Person** has become legally liable to pay as a result of a **Claim** first made against them during the **Policy Period** or Discovery Period, if applicable, for a **Wrongful Act** that takes place during or prior to the **Policy Period**.

(C) Company Liability

The Insurer will pay **Loss** on behalf of the **Company**, which the **Company** has become legally liable to pay as a result of a **Claim** first made against it during the **Policy Period** or Discovery Period, if applicable, solely for a **Wrongful Act** that takes place during or prior to the **Policy Period**.

(D) Securities Holder Derivative Demand Investigation Liability

The Insurer will pay **Investigative Costs** on behalf of the **Company** that the **Company** has incurred as a result of a **Securities Holder Derivative Demand** first made during the **Policy Period** or Discovery Period, if applicable.

Loss paid by the Insurer pursuant to this Insuring Agreement (D) shall be subject to the sub-limit of liability set forth in **ITEM 3** of the Declarations. This sub-limit shall be the maximum aggregate amount the Insurer shall pay under this Policy for all **Investigative Costs** as a result of any and all **Securities Holder Derivative Demands**. This sub-limit shall be subject to, part of, and not in addition to, the Limit of Liability set forth in **ITEM 3** of the Declarations.

II. DEFINITIONS

The following terms shall have the meanings specified below:

(A) **"Claim"** means:

- (1) a written demand for monetary or non-monetary relief, including any arbitration or mediation that is commenced by a written request or demand for such proceeding, or a written request to waive or toll a statute of limitation;
- (2) a civil or criminal judicial proceeding seeking monetary or non-monetary relief, including any appeal therefrom;
- (3) a formal civil, criminal, administrative, Extradition or regulatory proceeding (including a proceeding brought by, on behalf of or before the Securities Exchange Commission (SEC), Equal Employment Opportunity Commission (EEOC) or similar federal, state or local governmental agencies), including any appeal therefrom; or
- (4) solely with respect to an **Insured Person**, a formal investigation of such **Insured Person** in which such **Insured Person** has been identified by name in a subpoena, formal order or notice of investigation, including but not limited to a "Wells Notice" issued by the SEC, as someone against whom a civil or criminal lawsuit or other legal proceeding may later be commenced.

A **Claim** shall be deemed to have been first made at the earliest date of receipt by the **Company**, **Insured Person** or their agent of a written demand, criminal indictment or information, notice of charges or service of summons, subpoena or similar document commencing an investigation, lawsuit or proceeding against such **Insured Person** or the **Company**.

(B) **"Insured"** means:

- (1) the **Company**; or
- (2) any **Insured Person**

(C) **"Insured Person"** means:

- (1) any **Insured Executive**; or
- (2) any **Employee**

- (D) **"Investigative Costs"** means reasonable and necessary expenses incurred by the **Company**, directly or indirectly through any duly constituted board or committee, incurred in the investigation of a **Securities Holder Derivative Demand**, provided that **Investigative Costs** shall not include salaries, wages, remuneration, and overhead or benefit expenses of or associated with any **Insured Person**.
- (E) **"Loss"** means judgment and settlement amounts (including pre- or post-judgment interest, punitive or exemplary damages, and the multiplied portion of any damages award, provided that such amounts are insurable pursuant to the law in any jurisdiction whose law may reasonably be applicable and which holds such amounts to be insurable), **Investigative Costs** pursuant to Insuring Agreement (D) of this Coverage Part, and **Defense Costs** that an **Insured** is legally liable to pay. In determining applicable law with respect to any amounts referenced in this Definition only the following factors shall be considered.
- the state in which the **Company** is incorporated;
 - the state in which the **Company** has its principal place of business;
 - the state in which the litigation awarding punitive or exemplary damages was filed and maintained; or
 - the state in which any **Wrongful Act** takes place and on which the punitive or exemplary damages award is predicated.

The Insurer shall not challenge any written opinion of counsel retained by or on behalf of an **Insured** asserting that the award of punitive or exemplary damages at issue is insurable, provided that such counsel is duly licensed to practice law in the jurisdiction whose law is opined to be applicable and such counsel agrees in writing that the Insurer is a party that may rely upon its opinion.

Loss shall also include taxes imposed by law upon any **Insured Executive** in his or her capacity as such solely in connection with any bankruptcy, receivership, conservatorship or liquidation of the **Company**, provided always that such taxes are insurable under applicable law.

With regard to any portion of a settlement or judgment that is predicated on liability arising under Section 11 or 12 of the Securities Act of 1933 or any amendments thereto, the Insurer shall not contend that such is uninsurable as a matter of law.

Loss shall in no event include the following:

1. taxes (other than when imposed as described above in this Definition), ;
 2. the cost of complying with any non-monetary relief;
 3. any amounts otherwise uninsurable pursuant to applicable law; and
 4. fines and penalties, except for civil penalties imposed upon an **Insured Executive** pursuant to the Foreign Corrupt Practices Act (FCPA).
- (F) **"Outside Capacity"** means service by an **Insured Person** as a director, officer, trustee, regent, governor or equivalent executive of an **Outside Entity** with the knowledge and consent of or at the request of the **Company**.
- (G) **"Outside Entity"** means any entity, other than the **Company**, which is:
- (1) a not-for-profit corporation, community chest, fund or foundation that is exempt from federal income tax as an organization described in Section 501(c)(3) of the Internal Revenue Code of 1986;
 - (2) an entity organized for a religious or charitable purpose under any not-for-profit statute; or
 - (3) an entity listed as an **Outside Entity** in a written endorsement issued by the Insurer to form a part of this Policy.
- (H) **"Securities Holder Derivative Demand"** means any written demand by a securities holder of the **Company**, in its capacity as such, upon the **Company** or one or more **Insured Executives** to commence a civil judicial proceeding against any **Insured Executives** for **Wrongful Acts** of such **Insured Executives**.
- (I) **"Wrongful Act"** means any actual or alleged:
- (1) error, misstatement, misleading statement, act, omission, neglect, or breach of duty committed by an **Insured Person** in their capacity as such or in their **Outside Capacity**, or, with regard to Insuring Agreement (C) the **Company**; or
 - (2) matter claimed against an **Insured Person**, by reason of their serving in such capacity, including service in an **Outside Capacity**.

III. COVERAGE EXTENSION FOR OUTSIDE DIRECTORSHIP LIABILITY

Subject to the terms and conditions of this Policy and **Liability Coverage Part**, coverage is afforded for **Loss** resulting from any **Claim** against an **Insured Person** for a **Wrongful Act** in an **Outside Capacity**. Such coverage shall be available and attach solely and specifically excess of all indemnity and insurance available from or provided by the **Outside Entity**. Payment by the Insurer or any **Affiliate** under any other insurance policy as a result of such **Claim** shall reduce by the amount of such payment obligation, the Limit of Liability available under this Policy for such **Claim**.

IV. ADDITIONAL LIMITS OF LIABILITY

Subject to the terms and conditions of this Policy and **Liability Coverage Part** and further subject to it being granted as indicated in **ITEM 3** of the Declarations, an additional aggregate Limit of Liability shall be available for **Loss** resulting from a **Claim** against any **Insured Executive**, provided that:

- (A) such Claim is covered under the Insuring Agreement set forth in Insuring Agreement (A) of this **Liability Coverage Part**;
- (B) such additional Limit shall apply solely in excess of all other insurance and indemnity available to pay **Loss** for such **Claim**, including, without limitation, this Policy and insurance written specifically as excess over this Policy, which such insurance must be fully exhausted by payment by the respective insurers thereunder prior to this additional Limit being made available to pay **Loss**; and
- (C) such additional Limit shall be subject to the maximum aggregate Limit of Liability for this **Liability Coverage Part** set forth in **ITEM 3** of the Declarations.

V. EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS

The Insurer shall not pay **Loss** in connection with any **Claim**:

- (A) for bodily injury, sickness, disease, emotional distress, mental anguish, or death of any person, or damage to or destruction of any tangible property, including loss of use or diminution of value thereof;
- (B) based upon, arising from, or in any way related to any prior or pending, suit or proceeding against any **Insureds** as of the Prior or Pending Date in **ITEM 3** of the Declarations, or the same or any substantially similar fact, circumstance or situation underlying or alleged in such suit or proceeding;

(C) for any **Wrongful Act**, fact, circumstance or situation which has been the subject of any written notice given under any other similar policy of which this **Liability Coverage Part** is effectively, in whole or in part, a renewal, replacement or which otherwise succeeds in time;

(D) based upon, arising from, or in any way related to any:

(1) actual or alleged discharge, dispersal, release, or escape of **Pollutants**, or any threat of such discharge, dispersal, release or escape; or

(2) direction, request or voluntary decision to test for, abate, monitor, clean up, remove, contain, treat, detoxify or neutralize **Pollutants**;

However, this exclusion, IV. (D) shall not apply to **Loss** otherwise covered under the Insuring Agreement (A) of this Coverage Part.

(E) based upon, arising from, or in any way related to any:

(1) unpaid wages (including overtime pay), workers' compensation benefits, unemployment compensation, disability benefits, improper payroll deductions, improper employee classification, failure to maintain accurate time records, failure to grant meal and rest periods, or social security benefits; or

(2) actual or alleged violation of, **ERISA**, the Fair Labor Standards Act (FLSA), Equal Pay Act (EPA), Worker Adjustment and Retraining Notification Act (WARN), the Consolidated Omnibus Budget Reconciliation Act of 1985 (COBRA), or any similar law;

(F) based upon, arising from, or in any way related to the rendering of, or failure to render, any professional services for others, including, without limitation, services performed by any **Insureds** for or on behalf of a customer or client;

Exclusions (D), (E) and (F) above shall not apply to the portion of **Loss** directly resulting from: (i) a civil proceeding brought by a security holder of the **Company**, in their capacity as such, or derivatively on behalf of the **Company**, that is brought and maintained without the solicitation, assistance, or active participation of the **Company** or any Insured **Executive**; or (ii) a **Securities Holder Derivative Demand**.

(G) that is brought or maintained by or on behalf of the **Company**, **Outside Entity**, any director, officer or functionally equivalent position in an **Outside Entity** or any **Insured Person**, regardless of her or his capacity as such, except that this exclusion shall not apply to the following:

- (1) any **Claim** brought derivatively on behalf of the **Company** that is so brought and maintained without the solicitation, assistance, or active participation of any **Insured Person**;
 - (2) any **Claim** alleging a wrongful termination of employment;
 - (3) any **Claim** seeking contribution or indemnity, if such **Claim** directly results from another **Claim** that is otherwise covered under this Policy;
 - (4) any **Claim** made by or on behalf of an Examiner, Trustee, Receiver, or Liquidator, Creditors Committee of the **Company** or **Outside Entity** or any assignee thereof;
 - (5) any **Claim** brought by or with the assistance, participation or solicitation of any individual protected as a “whistleblower” under 18 U.S.C. § 1514 A of the Sarbanes-Oxley Act of 2002 or similar provisions in other federal, state or local law;
 - (6) any **Claim** brought by an **Insured Person** who has not served in such a position in the **Company** for at least thirty-six (36) months prior to the date such **Claim** is first made, provided always that such **Claim** is brought without the solicitation, participation or assistance of the **Company** or any **Insured Person** who is currently serving in such capacity or has so served within such thirty-six (36) month period; or
 - (7) any **Claim** brought and maintained by the Supervisory Board of the **Company** where the **Company** is chartered or incorporated in a civil law, as opposed to common law, jurisdiction outside the United States of America.
- (H) based upon, arising from, or in any way related to an **Insured Person's** service, at any time, as a director, officer, trustee, regent, governor or equivalent executive or as an employee of any entity other than the **Company** even if such service is at the direction or request of the **Company**, provided that this exclusion shall not apply to coverage afforded under Section III. of this **Liability Coverage Part** for a **Claim** for a **Wrongful Act** by an **Insured Person** while serving in an **Outside Capacity**;
- (I) based upon, arising from, or in any way related to any public listing or offering of securities of the **Company** or the purchase or sale of such securities subsequent to such public listing or offering; provided that this exclusion shall not apply to that portion of **Loss** directly resulting from:

- (1) a **Wrongful Act** in any private placement of the **Company's** securities exempted from the registration requirements of the Securities Act of 1933; or
 - (2) a civil proceeding brought and maintained by any security holders of the **Company** for the failure of the **Company** to undertake or complete an initial public offering or sale of securities of the **Company**;
- (J) for:
 - (1) deliberately fraudulent, or deliberately criminal act or deliberately fraudulent or deliberately criminal omission or any deliberate violation of any statute, rule, or law by the **Company** or an **Insured Person**; or
 - (2) profit or remuneration gained by the **Company** or any **Insured Person** to which she, he or it is not legally entitled

provided that the acts or conduct underlying the foregoing exclusions in this Section IV. (J) are determined by a final adjudication, after exhaustion of all appeals (including petitions for rehearing), in the underlying **Claim**. These exclusions shall not be applicable to that part of **Loss**, which is comprised of **Defense Costs**. Neither the intent, knowledge nor **Wrongful Act** of any **Insured Person** or the **Company** shall be imputed to any other **Insured Person** to determine the application of these exclusions.

VI. EXCLUSIONS SOLELY APPLICABLE TO INSURING AGREEMENT (C)

- (A) The **Insurer** shall not pay Loss under Insuring Agreement (C) in connection with any **Claim** based upon, arising from, or in any way related to any actual or alleged:
 - (1) liability under any contract or agreement, provided that this exclusion shall not apply to the extent that liability would have been incurred in the absence of such contract or agreement;
 - (2) employment-related **Wrongful Act**;
 - (3) discrimination or sexual harassment;
 - (4) false arrest or imprisonment, abuse of process, malicious prosecution, defamation (including libel and slander), invasion of privacy, trespass, nuisance or wrongful entry or eviction, assault, battery or loss of consortium;

- (5) price fixing, restraint of trade, monopolization, unfair trade practices or any violation of the Federal Trade Commission Act, Sherman Antitrust Act, Clayton Act, or any similar law regulating antitrust, monopoly, price fixing, price discrimination, predatory pricing or restraint of trade activities; or
- (6) infringement, dilution or misappropriation of copyright, patent, trademark, trade name, trade dress, service mark, trade secrets, or other intellectual property; provided, however that this exclusion shall not apply to the portion of Loss directly resulting from:
 - (a) a civil proceeding brought and maintained by a security holder(s) of an **Insured Entity**, in their capacity as such, or derivatively on behalf of the **Company**;
 - (b) **Securities Holder Derivative Demand**;
- (B) a settlement or judgment amount that represents the amount by which the purchase price or consideration is effectively increased in connection with a **Claim** alleging that the price or consideration paid or proposed to be paid in a transaction involving all or substantially all of the ownership interest in or assets of any entity is inadequate, as well as plaintiff counsel fees and costs awarded or settled as part of such **Claim**.

VII. SECURITIES OFFERINGS

If any public offering of a **Company's** securities that is not exempt from registration under the Securities Act of 1933 occurs during the **Policy Period**, the Insurer shall furnish the **Insureds** with a quote for insurance coverage of such offering, provided that:

- (A) at least thirty (30) days prior to the effective date of such offering, the **Insureds** shall give the Insurer written notice of such offering together with all information requested by the Insurer;
- (B) such quote shall be on such terms and conditions, including any additional premium, as the Insurer, in its absolute discretion, choose;
- (C) any coverage provided shall be on such forms as are in use by the Insurer for public companies at the time of such offering; and
- (D) if the **Insureds** choose to cancel this Policy to accept a coverage form offered in such quote, unearned premium for this Policy shall be calculated on a pro rata basis.

VIII. PRIORITY AND ORDER OF PAYMENTS

If any amount sought as **Loss** payable under this Policy exceeds the available Limits of Liability or is subject to competing claims of different **Insureds**, then **Loss** shall be paid not exceeding the available Limits of Liability in the following order of priority:

- (A)** First to **Loss** covered under Insuring Agreement (A) of this Coverage Part;
- (B)** Second to **Loss** covered under Insuring Agreements (B), (C), or (D) of this Coverage Part at the sole election of the **Company** as to the timing of payment and applicable Section.

IN WITNESS WHEREOF, We have caused this policy to be executed by our President and our Corporate Secretary at New York, New York.

A handwritten signature in cursive script, appearing to read "Andy Z. Gallo".

President

A handwritten signature in cursive script, appearing to read "Dina Daskal".

Secretary

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **1**

THIS ENDORSEMENT IS ATTACHED TO AND MADE PART OF YOUR POLICY IN RESPONSE TO THE DISCLOSURE REQUIREMENTS OF THE TERRORISM RISK INSURANCE ACT. THIS ENDORSEMENT DOES NOT GRANT ANY COVERAGE OR CHANGE THE TERMS AND CONDITIONS OF ANY COVERAGE UNDER THE POLICY.

DISCLOSURE PURSUANT TO TERRORISM RISK INSURANCE ACT

SCHEDULE

SCHEDULE – PART I (Enter charge, even if -0-)
Terrorism Premium (Certified Acts) \$0

This premium is the total Certified Acts premium attributable to the following Coverage Part(s), Coverage Form(s) and/or Policy(ies):

Not-For-Profit Defender Policy
Private Defender Policy
Portfolio Prime Insurance Policy

Additional information, if any, concerning the terrorism premium:
N/A

SCHEDULE – PART II
Federal share of terrorism losses 80% Year: 20 20
(Refer to Paragraph B. in this endorsement.)

Information required to complete this Schedule, if not shown above, will be shown in the Declarations.

A. Disclosure Of Premium

In accordance with the federal Terrorism Risk Insurance Act, we are required to provide you with a notice disclosing the portion of your premium, if any, attributable to coverage for terrorist acts certified under the Terrorism Risk Insurance Act. The portion of your premium attributable to such coverage is shown in the Schedule of this endorsement or in the policy Declarations.

B. Disclosure Of Federal Participation In Payment Of Terrorism Losses

The United States Government, Department of the Treasury, will pay a share of terrorism losses insured under the federal program. The federal share equals a percentage (as shown in Part II of the Schedule of this endorsement or in the policy Declarations) of that portion of the amount of such insured losses that exceeds the applicable insurer retention. However, if aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year, the Treasury shall not make any payment for any portion of the amount of such losses that exceeds \$100 billion.

C. Cap On Insurer Participation In Payment Of Terrorism Losses

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

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Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **2**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PAST ACTS EXCLUSION FOR SPECIFIED COVERAGE PARTS

PRIVATE DEFENDER POLICY

It is agreed that the "**EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS**" section of each Coverage Part identified below is amended to include the following additional exclusion:

based upon, arising from or in any way related to any **Wrongful Act(s)** or **Interrelated Wrongful Acts**, actually or allegedly committed or attempted prior to 03/23/2023 (12:01 A.M.) at the address stated in **ITEM 1** of the Policy;

This exclusion applies to the following **COVERAGE PARTS**:

1. Directors, Officers and Company Liability Coverage

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **3**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**INTELLECTUAL PROPERTY RIGHTS EXCLUSION ENDORSEMENT
FOR ALL INSURING AGREEMENTS (DIRECTORS, OFFICER AND COMPANY LIABILITY
COVERAGE AND EMPLOYMENT PRACTICES LIABILITY COVERAGE PARTS)**

This endorsement modifies insurance provided under the following:

PRIVATE DEFENDER POLICY

DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART, section **VI. EXCLUSIONS SOLELY APPLICABLE TO INSURING AGREEMENT (C)**, is amended by deleting subsection (A) part (6) in its entirety.

It is further agreed that **Section V. EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS**, is amended by adding the following:

The Insurer shall not pay **Loss** in connection with any **Claim** based upon, arising from, or in any way related to any actual or alleged unfair competition or infringement, dilution, violation, cybersquatting, unauthorized use, or misappropriation of copyright, patent, trademark, trade name, trade dress, service mark, trade secrets, certification marks, collective marks, right of publicity, undeveloped ideas or other intellectual property.

EMPLOYMENT PRACTICES LIABILITY COVERAGE PART, Section III. (A), EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS, is amended by adding the following:

The Insurer shall not pay **Loss** in connection with any **Claim** based upon, arising from, or in any way related to any actual or alleged unfair competition or infringement, dilution, violation, cybersquatting, unauthorized use, or misappropriation of copyright, patent, trademark, trade name, trade dress, service mark, trade secrets, certification marks, collective marks, right of publicity, undeveloped ideas or other intellectual property.

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **4**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**WAGE AND HOUR EXCLUSION
(DIRECTORS, OFFICERS AND COMPANY LIABILITY AND EMPLOYMENT PRACTICES
LIABILITY COVERAGE PARTS)**

This endorsement modifies insurance provided under the following:

PRIVATE DEFENDER POLICY

- I. The **EMPLOYMENT PRACTICES LIABILITY COVERAGE PART**, if such coverage was granted in the policy Declarations, is amended in the following manner:

Section III. **EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS, (A) (7) & (8)**, are deleted and replaced with the following:

(7) based upon, arising from, or in any way related to any actual or alleged violation of the federal Fair Labor Standards Act, The California Labor Code or California Business and Professions Code or wage orders promulgated by the California Industrial Welfare Commission, including any amendments thereto or revisions thereof or rules or regulations issued thereunder or any other federal, state or local law (except for the Equal Pay Act) regulating wage and hour practices including but not limited to unpaid wages, failure to pay overtime wages, failure to pay the minimum wage, failure to pay timely wages, inaccurate or incomplete or misleading wage statements, improper payroll deductions, unlawful rounding, miscalculation of pay or rates of pay, improper employee classification, failure to maintain accurate time records or any other wage statement violations, meal or rest period violations including but not limited to the failure to grant meal or rest periods, unfair competition or social security benefits;

(8) based upon, arising from, or in any way related to:

- (a)** any actual or alleged workers' compensation benefits, unemployment compensation, or disability or social security benefits; or
- (b)** any actual or alleged violation of the Worker Adjustment and Retraining Notification Act (WARN), the National Labor Relations Act, the Occupational Safety and Health Act, the Consolidated Omnibus Budget Reconciliation Act of 1985, **ERISA**, or any similar law;

Provided that exclusion III **(8)** above shall not apply to that portion of **Loss** that represents a specific amount the **Insureds** become legally obligated to pay solely predicated upon **Retaliation**.

- II. The **DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART**, if such coverage was granted in the Declarations, is amended in the following manner

Section V. **"EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS"**
paragraph **"(E) (1) and (2)"** are hereby deleted in their entirety and replaced by the following;

(E) based upon, arising from, or in any way related to any:

- (1)** actual or alleged violation of the federal Fair Labor Standards Act, The California Labor Code or California Business and Professions Code including any amendments, revisions thereof or rules or regulations promulgated thereunder or any other federal, state or local law (except for the Equal Pay Act) regulating wage and hour practices such as unpaid wages, failure to pay overtime wages, failure to pay the minimum wage, failure to pay timely wages, inaccurate or incomplete or misleading wage statements, improper payroll deductions, unlawful rounding, miscalculation of rates of pay, improper employee classification, failure to maintain accurate time records or any other wage statement violations, meal or rest period violations including but not limited to the failure to grant meal or rest periods, unfair competition or social security benefits; or
- (2)** actual or alleged violation of, **ERISA**, the Equal Pay Act (EPA), Worker Adjustment and Retraining Notification Act (WARN), the Consolidated Omnibus Budget Reconciliation Act of 1985 (COBRA), or any similar law;

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **5**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**CRISIS MANAGEMENT EXPENSES SUBLIMIT ENDORSEMENT
(DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART AND
EMPLOYMENT PRACTICES LIABILITY COVERAGE PART)**

This endorsement modifies insurance provided under the following:

PRIVATE DEFENDER POLICY

In consideration of the payment of premium for the Policy, it is understood and agreed that the Policy is amended as follows:

I. ITEM 3 of the Declarations is amended by adding the following:

Crisis Management Expenses Sublimit \$25,000 for all **Crisis Events** combined

Retention: \$35,000

Applicable to the following **Liability Coverage Parts**:

Director Officers and Company Liability; and

Employment Practices Liability

II. Section I. INSURING AGREEMENTS of the **DIRECTOR, OFFICERS AND COMPANY LIABILITY COVERAGE PART** and the **EMPLOYMENT PRACTICES LIABILITY COVERAGE PART** is amended by adding the following:

Crisis Management Expenses Coverage

Subject to the Crisis Management Expenses Sublimit stated in the **ITEM 3** of the Declarations, The Insurer shall pay, on behalf of the **Company**, **Crisis Management Expenses**, in excess of the retention, which the **Company** becomes legally obligated to pay as a result of a **Crisis Event** or in reasonable anticipation of a **Crisis Event**:

(1) that takes place or is reasonably anticipated to take place during the **Policy Period**;

(2) that is reported:

(a) within thirty (30) days from the date such **Crisis Event** took place or started if ongoing; or

(b) thirty (30) days before incurring **Crisis Management Expenses** in reasonable anticipation of a **Crisis Event**;

(3) for which as of the effective date of this Endorsement, no **Insured Executive** had received notice or had knowledge of an actual or potential **Crisis Event**; and

- (4) for which there is no other valid and collectible insurance available to the **Company** for **Crisis Management Expenses** or the functional equivalent thereof.

III. The **GENERAL TERMS AND CONDITIONS PART** is amended as follows:

A. Section II. **DEFINITIONS** is amended by adding the following:

"**Crisis Event**" means:

- (a) the incapacity, death or state or federal criminal indictment of an **Insured Person**;
- (b) the **Company's** disclosure of its intention to file or actual filing of protection under federal bankruptcy laws; or
- (c) any other event which, in the **Company's** good faith opinion, has caused or is reasonably likely to cause a **Material Effect**.

"**Crisis Management Expenses**" means the following expenses in excess of the applicable retention set forth in **ITEM 3** of the Declarations that are incurred by the **Company** during a period beginning ninety (90) days prior to and/or in reasonable anticipation of a **Crisis Event** and ending ninety (90) days thereafter:

- (a) **Crisis Management Services** provided by a **Crisis Management Firm**;
- (b) advertising, printing or the mailing of matter relevant to the **Crisis Event**; and
- (c) out of pocket travel expenses incurred by or on behalf of the **Company** or the **Crisis Management Firm**;

provided, however, **Crisis Management Expenses** does not include any amounts that would otherwise constitute compensation, benefits, fees, overhead, charges, or expenses of an **Insured**.

"**Crisis Management Firm**" means a marketing firm, public relations firm, law firm or other professional services entity retained by the **Company**, with the **Insurer's** prior written consent, to perform **Crisis Management Services** arising from a **Crisis Event**.

"**Crisis Management Services**" means the professional services provided by a **Crisis Management Firm** in counselling or assisting the **Company** in reducing or minimizing the potential harm caused by the public disclosure of a **Crisis Event**.

"**Material Effect**" means the publication of unfavorable information regarding the **Company** which can reasonably be considered to materially reduce public confidence in the **Company's** competence, integrity or viability to conduct business. Such publication must occur in a report about an **Insured** appearing in a daily newspaper of general circulation; or a radio or television news program.

B. Section IV. **LIMIT OF LIABILITY** is amended by adding the following:

The Crisis Management Expenses Sublimit is the maximum aggregate the **Insurer**

shall pay for all **Crisis Events** combined and:

- (1) when a **Crisis Event** is due to actual or potential **Loss** which is otherwise covered under the **DIRECTORS, LIABILITY AND COMPANY LIABILITY COVERAGE PART**, the Crisis Management Expense Sublimit shall be part of and not in addition to the Aggregate Limit of Liability for the **DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART** set forth in **ITEM 3** of the Declarations;
- (2) when a **Crisis Event** is due to actual or potential **Loss** which is otherwise covered under the **EMPLOYMENT PRACTICES LIABILITY COVERAGE PART**, the Crisis Management Expense Sublimit shall be part of and not in addition to the Aggregate Limit of Liability for the **EMPLOYMENT PRACTICES LIABILITY COVERAGE PART** set forth in **ITEM 3** of the Declarations; or
- (3) when a **Crisis Event** is due to actual or potential **Loss** which is otherwise covered under both the **EMPLOYMENT PRACTICES LIABILITY COVERAGE PART** or the **DIRECTORS, LIABILITY AND COMPANY LIABILITY COVERAGE PART**, the Insurer in its sole discretion shall decide whether the Crisis Management Expense Sublimit shall be part of and not in addition to the Aggregate Limit of Liability for the **DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART** or the **EMPLOYMENT PRACTICES LIABILITY COVERAGE PART** set forth in **ITEM 3** of the Declarations.

C. Section **VIII. AWARENESS OF WRONGFUL ACT OR CIRCUMSTANCES AND NOTICE OF CLAIM AND OTHER** is amended by adding the following:

As a condition precedent to the coverage provided by the **Crisis Management Expenses Sublimit** set forth in **ITEM 3** of the Declarations:

You shall give us written notice of the following within thirty (30) days from the date a **Crisis Event** took place or started if ongoing, or within thirty (30) before incurring **Crisis Management Expenses** in reasonable anticipation of a **Crisis Event**:

- (1) the time, date and place of the **Crisis Event** or when the anticipated **Crisis Event** is likely to take place;
- (2) a description of the actual or anticipated **Crisis Event**;
- (3) the identity of all **Insureds**, locations and persons actually or potentially involved in or impacted by the actual or anticipated **Crisis Event**;
- (4) how, when or where you first became aware of the actual or anticipated **Crisis Event**; and
- (5) documented proof of any **Crisis Management Expenses** incurred by the **Company**.

If the **Insured** complies with the notice requirements of Paragraph (1) of this provision for any **Crisis Management Expenses** incurred in reasonable anticipation of a **Crisis Event**, then the **Crisis Event** that subsequently takes place as described in such notice shall be deemed to have taken place at the time such notice was received by the Insurer.

(B) You shall assist and cooperate with us in the investigation of the **Crisis Event** and, upon our request, authorize the release of records and other information pertinent to the reimbursement of **Crisis Management Expenses**.

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **6**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

AMEND CHANGES IN EXPOSURE – ASSET THRESHOLD - 25%

This endorsement modifies insurance provided under:

PRIVATE DEFENDER POLICY

GENERAL TERMS AND CONDITIONS PART section **XIV. CHANGES IN EXPOSURE, (A)**, is amended by the addition of the following:

If the fair value of the assets of any newly merged, acquired or created entity exceed 25% of the total assets of the **Named Insured** as reflected in its most recent consolidated audited financial statements prior to such merger, acquisition or creation, the **Insureds** shall give the Insurer full details of the transaction in writing as soon as practicable, but in no event later than 90 days, and the Insurer shall be entitled to impose such additional terms, conditions, and premium as the Insurer, in its absolute discretion, chooses. There shall be no coverage under the **Liability Coverage Parts** for any newly merged, acquired or created entity or any of its subsidiaries, insured executives, directors, officers, or employees unless the **Insureds** comply with the terms of this provision.

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**

Endorsement Number: **7**

Effective at 12:01 a.m. Standard Time: **March 23, 2025**

Insurer: **Hudson Excess Insurance Company**

Named Insured: **Elmcourt Group Inc**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**BREACH OF CONTRACT EXCLUSION
(DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART)**

This endorsement modifies the insurance provided under the following:

PRIVATE DEFENDER POLICY

Irrespective of anything contained in this Policy form or by endorsement to the contrary, the **DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART** Section VI. **EXCLUSIONS SOLELY APPLICABLE TO INSURING AGREEMENT (C)** Paragraph **(A)** subsection **(1)** is deleted in its entirety and replaced with the following:

(1) liability under any implied, oral or written contract or agreement;

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **8**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**MAJOR EQUITY HOLDER EXCLUSION
(DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART)**

This endorsement modifies insurance provided under the following:

PRIVATE DEFENDER POLICY

DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART, Section V.
EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS is amended by the
addition of the following:

- brought by or on behalf of any individual or entity owning 10% or more of any class of equity interest or securities of the **Company**.

**ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE
TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF
REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR
OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.**

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **9**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**ADVERTISING / PUBLISHING / BROADCASTING EXCLUSION - ENTITY ONLY
(DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART)**

This endorsement modifies insurance provided under the following:

PRIVATE DEFENDER POLICY

Irrespective of any provision or clause in this Policy to the contrary it is agreed that:

Section **VI. EXCLUSIONS SOLELY APPLICABLE TO INSURING AGREEMENT (C)** is amended to include the following additional exclusion:

for, based on, arising from or related to any actual or alleged plagiarism, infringement or violation or dilution of any intellectual property right, copyright, patent, trademark, certification marks, service marks, collective marks, trade name, trade dress, or license, or title, or slogan, or unfair competition, undeveloped ideas, false marking of a product or violation of a law addressing false marking or idea misappropriation, cybersquatting, humiliation, libel, slander, defamation or invasion of privacy with respect to any **Insureds'** operating activities including but not limited to any products or services published, sold, offered, distributed, produced, manufactured, marketed, advertised, developed or broadcast through any media electronic or otherwise including but not limited to through print, radio, television, internet, social media or otherwise by the **Insureds'** or done so on behalf of any third party.

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **10**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**CYBER/PRIVACY EXCLUSION
(DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART)**

This endorsement modifies insurance provided under the following:

PRIVATE DEFENDER POLICY

It is hereby agreed that irrespective of any provision in this policy to the contrary, the following exclusion is added to **Section V., EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS**

The Insurer shall not pay **Loss** in connection with any **Claim** based upon, arising from, in connection with or in any way related to, whether directly or indirectly, any of the following:

1. actual or alleged disparagement or harm to the reputation or character of any person or organization, defamation, libel, slander, product disparagement, trade libel, wrongful entry or eviction, trespass, eavesdropping, false arrest, malicious prosecution, outrage or outrageous conduct; or
2. actual or alleged invasion of privacy, voyeurism, infringement or interference with the right to privacy or of publicity including a privacy breach or violation of a privacy regulation, false light, public disclosure of private facts, intrusion or commercial appropriation of name or likeness; or
3. actual or alleged liability arising out of any **Insured's** failure to prevent unauthorized access to, use of, or tampering with computer systems or computerized data; or
4. actual or alleged liability arising from electronic content for which the **Company** is responsible that is posted to or circulated on the internet; or
5. actual or alleged inability of an authorized individual or entity other than an **Insured** to gain access to data held by the **Company** or services provided electronically by the **Company**, unless the lack of access is caused by a mechanical, electrical or electronic failure; or
6. actual or alleged negligent and unintentional transmission of a computer virus or other malware; or
7. actual or alleged plagiarism, piracy or misappropriation of ideas in connection with the internet; or
8. actual or alleged infringement of copyright, domain name, trade dress or title in connection with the internet; or
9. actual or alleged "Privacy Breach" by any **Insured**

"Privacy Breach" means any actual or alleged legal liability stemming from a failure to secure a computer system adequately to protect personal or confidential information or data obtained in the course of business, including but not limited to:

- a. common law and statutory invasion, infringement or interference with the right to privacy or of publicity, including false light, public disclosure of private facts, intrusion or commercial appropriation of name or likeness; or
- b. breach of confidence or misuse of any information which is either confidential or subject to statutory restriction on its use.

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **11**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**PRODUCT/SERVICES EFFICACY EXCLUSION
(DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART)**

This endorsement modifies insurance provided under:

PRIVATE DEFENDER POLICY

DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART, Section V. EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS is amended by the addition of the following:

1. alleging products or services sold, manufactured or distributed by an **Insured** do not:
 - (a) function as advertised or communicated by the **Insured**; or
 - (b) result in any physical or mental benefit advertised or claimed by the **Insured**; or
 - (c) fulfill the purpose or result in the benefit advertised or communicated by the **Insured**;
2. to enforce performance of any product warranty or guaranty issued or communicated by the **Insured** including, but not limited to, demands for return of the purchase price of such products; or
3. brought by the Federal Trade Commission or any other federal, state or local authority with governing power over any **Insured**; or
4. based upon, arising from, or in any way related to the **Insured's** public statements, advertising, distribution, or representations however disseminated regarding the products or services the **Company** manufactures, distributes or provides, including but not limited to identities of services providers, origin or labeling of products' contents or efficacy of products or its contents

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **12**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**EXCLUDE EMPLOYMENT PRACTICE CLAIMS
(DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART)**

This endorsement modifies insurance provided under the following:

PRIVATE DEFENDER POLICY

1. It is agreed that in consideration of the premium charged and irrespective of anything contained in this Policy to the contrary there shall be no coverage under the **DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART** for any **Employment Practice Claim** arising from an **Employment Practice Wrongful Act**.
2. Regardless of whether there is an **Employment Practice Claim** arising from an **Employment Practice Wrongful Act**, The **DIRECTORS, OFFICERS AND COMPANY LIABILITY COVERAGE PART**, is also amended in the following manner

Section V. "**EXCLUSIONS APPLICABLE TO ALL INSURING AGREEMENTS**" paragraph "**(E) (1) and (2)**" are hereby deleted in their entirety and replaced by the following;

(E) based upon, arising from, or in any way related to any:

- (1)** actual or alleged violation of the federal Fair Labor Standards Act, The California Labor Code or California Business and Professions Code including any amendments, revisions thereof or rules or regulations promulgated thereunder or any other federal, state or local law (except for the Equal Pay Act) regulating wage and hour practices such as unpaid wages, failure to pay overtime wages, failure to pay the minimum wage, failure to pay timely wages, inaccurate or incomplete or misleading wage statements, improper payroll deductions, unlawful rounding, miscalculation of rates of pay, improper employee classification, failure to maintain accurate time records or any other wage statement violations, meal or rest period violations including but not limited to the failure to grant meal or rest periods, unfair competition or social security benefits; or
 - (2)** actual or alleged violation of the Family and Medical Leave Act, **ERISA**, the Equal Pay Act (EPA), Worker Adjustment and Retraining Notification Act (WARN), the Consolidated Omnibus Budget Reconciliation Act of 1985 (COBRA), or any similar law;
3. It is further agreed that for the purposes of this endorsement **Employment Practice Claim** and **Employment Practice Wrongful Act** shall be defined as follows:

"Employment Practices Claim" means any **Claim** brought by or on behalf of an **Employee**, an applicant for employment with the **Company**, or an **Independent**

Contractor that is:

- (1) a written demand for monetary or non-monetary relief (including, as example, a written demand for reinstatement of employment), including any arbitration or mediation that is commenced by a written request or demand for such proceeding, or a written request to waive or toll a statute of limitation;
- (2) a civil judicial proceeding seeking monetary or non-monetary relief, including any appeal therefrom;
- (3) a formal administrative or regulatory proceeding (including a proceeding brought by, on behalf of or before the Equal Employment Opportunity Commission (EEOC) or similar federal, state or local governmental agencies, including any appeal therefrom.

"Employment Practices Claim" also means an audit conducted by the United States of America Office of Federal Contract Compliance Programs (OFCCP).

An **Employment Practices Claim** shall be deemed to have been first made at the earliest date of receipt by the **Company, Insured Person** or their agent of a written demand, notice of violation or charges or service of summons, subpoena, order to show cause or similar document commencing an investigation, lawsuit or proceeding against such **Insured Person** or the **Company**.

(D) "Employment Practices Wrongful Act" means any actual or alleged:

- (1) wrongful dismissal, discharge, or termination of employment (including constructive dismissal, discharge, or termination), wrongful failure or refusal to employ or promote, wrongful discipline or demotion, failure to grant tenure, negligent employment evaluation, or wrongful deprivation of career opportunity;
- (2) sexual or other workplace harassment, including quid pro quo and hostile work environment;
- (3) employment discrimination, including discrimination based upon age, gender, race, color, national origin, religion, creed, marital status, sexual orientation or preference, gender identity or expression, genetic makeup, or refusal to submit to genetic makeup testing, pregnancy, disability, HIV or other health status, Vietnam Era Veteran or other military status, or other protected status established under federal, state, or local law;
- (4) **Retaliation**;
- (5) breach of any oral, written, or implied employment contract, including, without limitation, any obligation arising from a personnel manual, employee handbook, or policy statement; or
- (6) violation of the Family and Medical Leave Act.

Employment Practices Wrongful Act shall also mean the following, but only when alleged in addition to or as part of any **Employment Practices Wrongful Act** described above:

- (a) employment-related wrongful infliction of emotional distress;
- (b) failure to create, provide for or enforce adequate or consistent employment-related policies and procedures;
- (c) negligent retention, supervision, hiring or training; or
- (d) employment-related invasion of privacy, defamation, or misrepresentation.

4. It is further agreed that **"Retaliation"** as used in this endorsement shall mean:

"Retaliation" means adverse treatment of an **Employee** or **Independent Contractor** based upon such person:

- (1) exercising any right under or alleging any actual or alleged violation of the federal Fair Labor Standards Act, The California Labor Code or California Business and Professions Code including any amendments, revisions thereof or rules or regulations promulgated thereunder or under any other federal, state or local law (except for the Equal Pay Act) regulating wage and hour practices such as unpaid wages, failure to pay overtime wages, inaccurate or incomplete or misleading wage statements, improper payroll deductions, unlawful rounding, miscalculation of rates of pay, improper employee classification, failure to maintain accurate records or any other wage statement violations, meal or rest period violations including but not limited to the failure to grant meal or rest periods, unfair competition or social security benefits; or
- (2) exercising any right under or alleging any actual or alleged violation of the Family and Medical Leave Act, **ERISA**, the Equal Pay Act (EPA), Worker Adjustment and Retraining Notification Act (WARN), the Americans with Disabilities Act (ADA), the Consolidated Omnibus Budget Reconciliation Act of 1985 (COBRA), or any similar law; or
- (3) refusing to violate any law; or
- (4) assisting, testifying, or cooperating with a proceeding or investigation regarding alleged violations of law by any **Insured**; or
- (5) disclosing or threatening to disclose alleged violations of law to a superior or to any governmental agency; or
- (6) filing any "whistle blower" claim against any **Insured** including but not limited to under the federal False Claims Act, the Sarbanes-Oxley Act of 2002, or any similar law.

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **13**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ CAREFULLY

CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

**Not-For-Profit Defender Policy
Private Defender Policy
Portfolio Prime Insurance Policy**

With respect to any one or more "certified acts of terrorism", we will not pay any amounts for which we are not responsible under the terms of the federal Terrorism Risk Insurance Program Reauthorization Act of 2019 - H.R. 1865 (including subsequent acts of Congress pursuant to the Act) due to the application of any clause which results in a cap on our liability for payments for terrorism losses.

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:

1. The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and
2. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for injury or damage that is otherwise excluded under this Policy.

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED. THE TITLE OR HEADING TO THIS ENDORSEMENT IS INCLUDED SOLELY FOR EASE OF REFERENCE AND DOES NOT IN ANY WAY LIMIT, EXPAND, INTERPRET OR OTHERWISE AFFECT THE PROVISIONS OF THIS ENDORSEMENT.

Includes material copyrighted by Insurance Services Office, Inc.

Policy Number: **HFP-HE-PRP-9708-032325**
Effective at 12:01 a.m. Standard Time: **March 23, 2025**
Insurer: **Hudson Excess Insurance Company**
Named Insured: **Elmcourt Group Inc**

Endorsement Number: **14**

SERVICE OF SUIT ENDORSEMENT - CALIFORNIA

It is hereby agreed by the Company and the Named Insured that:

In the event of a failure by the Company to pay any amount claimed to be due under this policy, the Company will, at the Named Insured's request, submit to the jurisdiction of any court of competent jurisdiction within the United States of America and will comply with all requirements necessary to give the court jurisdiction. Nothing in this endorsement constitutes or should be understood to constitute a waiver of the Company's rights to commence an action in any court of competent jurisdiction in the United States, to remove an action to a United States District Court or to seek a transfer of a case to another court as permitted by the laws of the United States or of any state in the United States. In a suit instituted against the Company under this contract, the Company agrees to abide by the final decision of the court or of any appellate court in the event of an appeal.

Pursuant to any statute of any state, territory or district of the United States of America which makes a provision therefore, the Company will designate the Superintendent, Commissioner or Director of Insurance or other officer specified for that purpose in the statute, or his successor or successors in office, as the Company's true and lawful attorney upon whom may be served any lawful process in any action, suit or proceeding instituted by or on behalf of the Named Insured or its beneficiary arising out of this contract of insurance.

The officer named below is authorized and directed to accept service of process on the Company's behalf:

**Commissioner of Insurance
45 Fremont, 23rd Floor
San Francisco, CA 94105**

Having accepted service of process on the Company's behalf, the officer is authorized to mail the process or a true copy to:

**Dina G Daskalakis
Hudson Excess Insurance Company
Administrative Office
100 William Street, 5th floor
New York, NY 10038**

All Other Terms and Conditions of This Policy Remain Unchanged.



PRIVATE DEFENDER – NEW BUSINESS MANAGEMENT LIABILITY APPLICATION

NOTICE: THE LIABILITY COVERAGE PART SECTIONS OF THE PRIVATE DEFENDER INSURANCE POLICY PROVIDE CLAIMS-MADE COVERAGE, WHICH APPLIES ONLY TO “CLAIMS” FIRST MADE DURING THE “POLICY PERIOD,” OR ANY APPLICABLE DISCOVERY PERIOD. THE LIMIT OF LIABILITY TO PAY DAMAGES OR SETTLEMENTS WILL BE REDUCED AND MAY BE EXHAUSTED BY “DEFENSE COSTS”, AND “DEFENSE COSTS” WILL BE APPLIED AGAINST THE RETENTION AMOUNT. IN NO EVENT WILL THE COMPANY BE LIABLE FOR “DEFENSE COSTS” OR THE AMOUNT OF ANY JUDGMENT OR SETTLEMENT IN EXCESS OF THE APPLICABLE LIMIT OF LIABILITY. READ THE ENTIRE APPLICATION CAREFULLY BEFORE SIGNING.

NAME OF APPLICANT: Elmcourt Group Inc		
Street Address: 8605 Santa Monica Blvd., #46712		
City: Santa Monica	State: CA	Zip: 90404
State of Incorporation: DE	Website: thechorus.com	
NAME AND CONTACT INFORMATION (Phone/email) of the individual authorized to receive notice regarding the proposed policy:		

GENERAL COMPANY INFORMATION

Questions 1 – 8 must be completed

1. NATURE OF APPLICANTS BUSINESS:

subscription based music platform

2. LEGAL FORM OF ORGANIZATION:

- ☒ Corporation ☐ Limited Liability Company ☐ Non-Profit ☐ Partnership
☐ Joint Venture ☐ Cooperative

3. START UP (under 3 Years) ☐; In Business over 3 years ☐ Since (yr.):

4. List of Subsidiaries requested to be included under this proposed insurance policy:

IF THERE ARE NO SUBSIDIARIES CHECK NONE ☒

Name of Subsidiary	Nature of Business	% Owned By Name of Applicant	Date Formed and/or Acquired
		%	___/___/___
		%	___/___/___
		%	___/___/___
		%	___/___/___

*****IF THERE ARE MORE SUBSIDIARIES ATTACH A DETAILED “ENTITY” ORG CHART*****

5. COVERAGE / LIMITS REQUESTED:							
Requested Coverage	First Time Buyer	Requested Limit	Expiring Date	Expiring Carrier	Expiring Limit	Expiring Retention	Expiring Premium
☒ D&O	☐ Yes ☒ No	\$	03 / 23 / 202		\$ 1000000	\$ 35,000	\$
☐ EPL	☐ Yes ☐ No	\$	___/___/___		\$	\$	\$
☐ Fiduciary	☐ Yes ☐ No	\$	___/___/___		\$	\$	\$
☐ Crime	☐ Yes ☐ No	\$	___/___/___		\$	\$	\$

6. Have any of the Applicant's D&O; EPL; FIDUCIARY or CRIME carriers indicated an intent not to offer renewal terms? If "Yes" please attach details.		☐ Yes ☒ No
7. Has the Applicant or any of its Subsidiaries in the past 12 months experienced or anticipate in the next 12 months any of the following?		
a. default of any debt, creditor, or contractual obligation or in violation of any debt covenant or agreement?	☐ Yes ☐ No	
b. any reorganization, bankrupt filing, restructuring or arrangement with creditors under federal or state law?	☐ Yes ☐ No	
c. any "material weaknesses" identified by auditors in the Applicant's internal accounting controls?	☐ Yes ☐ No	
d. any merger or consolidation with or acquisition of another entity, sale distribution or divestiture of any assets or stock in an amount exceeding 25% of the Applicant's consolidated assets	☐ Yes ☐ No	
e. any public offering of securities or private placement of securities	☐ Yes ☐ No	
f. any changes to the Board of Directors or Senior Management of the Applicant for reasons other than death or retirement?	☐ Yes ☐ No	
g. any branch, location, facility, office, or subsidiary closings, consolidations, or reduction in force	☐ Yes ☐ No	

****IF YES TO ANY OF THE ABOVE QUESTIONS APPLICANT MUST ATTACH DETAILS:**

8. FINANCIAL INFORMATION:			
(000s)	Current FYE: 12 / 31 / 2024	Prior FYE: 12 / 31 / 2023	YTD Period Ending: 01 / 31 / 2025
CASH & EQUIVALENTS	\$ 741,000	\$ 1,689,000	\$ 550,000
CURRENT ASSETS	\$ 745,000	\$ 1,691,000	\$ 549,000
TOTAL ASSETS	\$ 1,436,000	\$ 2,087,000	\$ 1,239,000
CURRENT LIABILITIES	\$ 203,000	\$ 54,000	\$ 152,000
TOTAL LIABILITIES	\$ 203,000	\$ 54,000	\$ 152,000
LONG TERM DEBT	\$ 0	\$ 0	\$ 0
REVENUE	\$ 586,000	\$ 181,000	\$ 70,000
NET INCOME / OR LOSS	\$ -1,776,000	\$ -734,000	\$ -11,000
CASH FLOW FROM OPERATIONS	\$ -1,904,000	\$ -746,000	\$ -183,000

DIRECTORS AND OFFICERS LIABILITY INFORMATION

complete this section questions 9 – 13 only if coverage is desired

9. Total number of voting shares outstanding: 10,802,666

10. Total number of voting shareholders: 9

11. Identify any direct or beneficial holders of 5% (on a fully diluted basis) or more of the Applicants voting shares:

Name of Shareholder	Percent of ownership	Board Representation
Mikel Jollett	69.34 %	☒ Yes ☐ No
Daniel Nathan	7.40 %	☒ Yes ☐ No
Gerard Conrad	7.40 %	☒ Yes ☐ No
Adam Grossman	5.58 %	☐ Yes ☒ No

12. Are there currently outstanding loans to any director or officer?

☐ Yes ☐ No

13. Is the Applicant engaged in any of the following?

a. Franchising:	☐ Yes ☒ No
b. General Partnership Operations	☐ Yes ☒ No
c. Insurance Company Operations	☐ Yes ☒ No
d. Joint Venture(s)	☐ Yes ☒ No

****IF YES TO ANY OF THE ABOVE - APPLICANT MUST ATTACH DETAILS****

EMPLOYMENT PRACTICES LIABILITY INFORMATION*complete this section questions 14 – 20 only if coverage is desired***14. EMPLOYEE INFORMATION** (complete chart below)

Employee Count	Total U.S.	Total Foreign
a. Full Time Employees:	#	#
b. Part Time Employees:	#	#
c. Independent Contractors:	#	#
d. Volunteers:	#	#
TOTAL (a – d):	#	#

Based off the above employee count, what percentage of employees are in the following states:

CA: ____; NY: ____; NJ: ____; FL: ____; TX: ____

15. EMPLOYEE TURNOVER:

Total Number of Employee Terminations	Current Year	Prior Year
Voluntary:	#	#
Involuntary:	#	#
Layoff / Downsizing:	#	#

For any Layoffs/Downsizing in the past 2 years:

How many employees were offered severance packages?

How many employees signed releases?

16. SALARY RANGES:

Employee Salary Ranges	Total % of Employees
Less Than \$50,000	%
\$50,000 – \$100,000	%
\$100,000 – \$250,000	%
Over \$250,000	%

17. Does the Applicant have a FULL TIME Human Resource Coordinator?☐ Yes ☐ No

If "NO" who performs this function? Name/Title:

18. Does the Applicant have written procedures in place for each of following: CHECK ALL THAT APPLY

☐ written human resources manual or equivalent	☐ written annual evaluations for employees?
☐ written policy with respect to progressive discipline for employees?	☐ written procedure for notification and handling of employment related grievances, disputes, notifications, or claims?
☐ written policy with respect to sexual harassment?	☐ written policy for Family Medical Leave?
☐ review all terminations with human resources and/or in-house or outside counsel	☐ Written employment agreements with all officers?

19. Are the Applicants Employment policies / procedures reviewed by outside legal counsel that specializes in labor and employment law?☐ Yes ☐ No**20. Is the Applicant seeking Wage and Hour Coverage?**☐ Yes ☐ No**IF YES, THE APPLICANT MUST COMPLETE WAGE AND HOUR SUPPLEMENT
(LOCATED ON PAGE 9).**

FIDUCIARY LIABILITY INFORMATION <i>complete this section questions 21 – 24 only if coverage is desired</i>				
21. List the names and types of Applicant's employee benefits plan(s) for which coverage is requested. <i>(Do not include health and welfare plans)</i>				
Plan Name	Plan Type DC; DB; ESOP; MEP	Number of Participants	Total Plan Assets	% Funding Status
			\$	
			\$	
			\$	
<i>Defined Contribution (DC), Defined Benefit (DB), Employee Stock Ownership (ESOP), Multi Employer (MEP)</i>				
Note If there is an ESOP – Company must provide most recently completed valuation report, audit, and supplemental application:				
22. PLAN(S) DETAILS:				
a. does the Applicant handle any investment decisions in-house? If "yes" who, handles such investment decisions?			☐ Yes ☐ No	
b. do all of the plans conform to the standards or eligibility, participation vesting and other provisions of the Employee Retirement Income Security Act of 1974, as amended?			☐ Yes ☐ No	
c. are the plans reviewed at least annually to assure that there are no violations of any plan trust agreements, prohibited transactions or party in interest rules?			☐ Yes ☐ No	
d. does the Applicant have any delinquent contributions to any plan?			☐ Yes ☐ No	
e. have any plans been terminated, suspended, merged or dissolved within the last twenty-four (24) months? IF YES, PLEASE PROVIDE DETAILS ON A SEPARATE PAGE			☐ Yes ☐ No	
f. does the Applicant anticipate terminating, suspending, merging or dissolving any plans within the next eighteen (18) months? IF YES, PLEASE PROVIDE DETAILS ON A SEPARATE PAGE			☐ Yes ☐ No	
g. has the Applicant, any plan, or plan fiduciary been accused or found guilty of a breach of fiduciary duty or violation of ERISA?			☐ Yes ☐ No	
h. has any plan been investigated by the DOL, IRS or any other regulatory agency in the past two (2) years?			☐ Yes ☐ No	

CRIME INFORMATION

complete this section questions 23 – 24 only if coverage is desired

23. What is the total number of officers and employees who handle, have custody or maintain records of money, securities, or other property?

24. Does the Applicant or any of its Subsidiaries:

- | | |
|---|--|
| a. allow the employees who reconcile the monthly bank statements to also sign checks or handle deposits? | ☐ Yes ☐ No |
| b. maintain a list of authorized vendors? | ☐ Yes ☐ No |
| c. have a procedure in place to verify the existence and ownership of new vendors prior to adding them to the authorized master vendor list? | ☐ Yes ☐ No |
| d. allow the same individual who verifies the existence of vendors to also have the authority to edit the authorized master vendor list? | ☐ Yes ☐ No |
| e. verify invoices against a corresponding purchase order, receiving report and the authorized master vendor list prior to issuing payment? | ☐ Yes ☐ No |

LOSS/CLAIMS HISTORY

25. In the last five (5) years, has the Applicant or any of its Subsidiaries had any?

a. directors and officers, employment practices or fiduciary liability claims and/or losses, potential claims, and/or losses, or notice of circumstances that may give rise to a claim and/or any loss?

☐ Yes ☐ No

b. crime insurance coverage part losses

☐ Yes ☐ No

c. anti-trust, copyright, or patent litigation?

☐ Yes ☐ No

d. action for suspension or revocation of a license or for any professional disciplinary sanction?

☐ Yes ☐ No

e. class action or derivative suit?

☐ Yes ☐ No

f. civil, criminal, or administrative or regulatory proceeding alleging violation of any federal or state laws?

☐ Yes ☐ No

g. other criminal proceeding or investigation?

☐ Yes ☐ No

IF "YES" TO ANY OF THE ABOVE – A FULLY COMPLETED CLAIM SUPPLEMENT MUST BE PROVIDED

WARRANTY

Does anyone for whom insurance is intended have any knowledge or information of any act, error, omission, fact, or circumstance which may give rise to any claim or loss which may fall within the scope of the proposed insurance?

☐ Yes ☐ No

IF "YES" – A FULLY COMPLETED CLAIM SUPPLEMENT MUST BE PROVIDED

THE UNDERSIGNED AUTHORIZED DIRECTOR OR OFFICER AGREES THAT IF THE INFORMATION SUPPLIED ON THIS APPLICATION CHANGES BETWEEN THE DATE THE APPLICATION IS EXECUTED AND THE TIME THE PROPOSED INSURANCE POLICY IS BOUND OR COVERAGE COMMENCED, THE APPLICANT WILL IMMEDIATELY NOTIFY THE INSURER IN WRITING OF SUCH CHANGES. THE INSURER FULLY RESERVES ITS RIGHTS WITH RESPECT TO THE UNDERWRITING ACCEPTANCE OR DENIAL OF SUCH CHANGES, INCLUDING THE RIGHT TO MODIFY OR WITHDRAW ANY OUTSTANDING QUOTATION.

THE UNDERSIGNED AUTHORIZED DIRECTOR OR OFFICER DECLARES ON BEHALF OF THE APPLICANT, AND ITS DIRECTORS AND EXECUTIVE OFFICERS, THAT TO THE BEST OF HIS/HER KNOWLEDGE AND BELIEF, THE STATEMENTS SET FORTH HEREIN AND ATTACHED HERETO ARE TRUE AND THAT THE COMPANY HAS MADE REASONABLE GOOD FAITH EFFORTS TO OBTAIN SUFFICIENT INFORMATION TO ACCURATELY COMPLETE THIS APPLICATION.

IT IS AGREED THAT THE STATEMENTS IN THIS APPLICATION OR IN ANY MATERIALS SUBMITTED HERewith ARE REPRESENTATIONS OF THE APPLICANT AND ITS DIRECTORS AND EXECUTIVE OFFICERS. THESE REPRESENTATIONS SHALL BE DEEMED MATERIAL TO THE ACCEPTANCE OF THE RISK ASSUMED BY THE INSURER UNDER THE POLICY, WHICH, IF ISSUED, WILL BE ISSUED IN RELIANCE UPON THE TRUTH THEREOF.

NAME: Jerry Conrad	TITLE: COO
SIGNATURE: 	DATE: 03 / 24 / 2025

NOTE: This Application must be signed by the President, CFO or CEO of the Applicant acting as the authorized agent of the persons and entity(ies) proposed for this insurance.

SUPPLEMENTAL ADDITIONAL INFORMATION IF NEEDED - Please provide additional information for each coverage part
DIRECTORS AND OFFICERS LIABILITY
EMPLOYMENT PRACTICES LIABILITY
FIDUCIARY LIABILITY
CRIME

WAGE AND HOUR COVERAGE SUPPLEMENTAL QUESTIONNAIRE

NAME OF APPLICANT:

1. Has the Applicant or any of its Subsidiaries had any wage and hour law related actions, demands, lawsuits, administrative or regulatory proceedings or hearings that resulted in any fines, penalties, defense costs, paid settlements, or other losses in the last five (5) years? IF YES – MUST ATTACH DETAILS	☐ Yes ☐ No
2. Have any employees complained about violations of state or federal wage and hour laws in the past 24 months? IF YES – MUST ATTACH DETAILS	☐ Yes ☐ No
3. Does the Applicant have a wage and hour compliance program that includes a wage and hour training course for their employees and managers?	☐ Yes ☐ No
4. Has the Applicant or any of its Subsidiaries ever been found to be in violation of any state or federal wage and hour laws in the past 5 years? IF YES – MUST ATTACH DETAILS	☐ Yes ☐ No
5. Is the Applicant and its Subsidiaries in compliance with all applicable state and federal wage and hour laws including but not limited to all record keeping and notice provisions? IF NO – MUST ATTACH DETAILS	☐ Yes ☐ No
6. Does Applicant retain payroll records for three years?	☐ Yes ☐ No
7. When was the last time the Applicant or any of its Subsidiaries audited or reviewed its wage and hour practices to ensure compliance with state and federal laws including, but not limited to, its classification of exempt and non-exempt employee's, how overtime is calculated, and meal and rest break periods?	
8. Does the Applicant or any of its Subsidiaries have knowledge of any potential Wage and Hour violations that could result in a claim, including but not limited to claims related to meal periods, rest periods or unpaid overtime. IF YES – MUST ATTACH DETAILS	☐ Yes ☐ No

NAME:	TITLE:
SIGNATURE:	DATE:

NOTE: This supplemental questionnaire must be signed by the President, CFO or CEO of the Applicant acting as the authorized agent of the persons and entity(ies) proposed for this insurance.

SUPPLEMENTAL CLAIM FORM	
STATUS OF CLAIM: ☐ OPEN ☐ CLOSED	
1. Claimant Name & Title:	
2. Named Defendant(s) & Title:	
3. Type of claim: ☐ Incident only ☐ Filed Lawsuit	
4. Date of act(s) causing claim/incident: ____/____/____	
5. Date claim/incident reported to the applicant: ____/____/____	
6. If CLOSED, total paid (defense and loss): \$	
7. If OPEN must provide the following (if N/A or 0.00 please state so):	
a. Claimants Demand:	\$
b. Insurer's Defense and/or Loss Reserves	\$
c. Defense Costs Incurred to Date:	\$
d. Applicants Settlement Offer:	\$
e. Applicants Estimate of Settlement:	\$
8. Nature of claim and allegations:	
9. What remedial measures have been taken to prevent a recurrence of a similar claim?	

NAME:	TITLE:
SIGNATURE:	DATE:

NOTE: This supplemental questionnaire must be signed by the President, CFO or CEO of the Applicant acting as the authorized agent of the persons and entity(ies) proposed for this insurance

NOTICE

To All Prospective Insureds: Any person who knowingly, and with intent to defraud any insurance company or other person, files an application for insurance or statement of claim containing any materially false information, or, for the purpose of misleading, conceals information concerning any fact material thereto, may commit a fraudulent insurance act which is a crime and subjects such person to criminal and civil penalties in many states.

To Prospective Insureds In:

Notice to California Applicants: For your protection California law requires the following to appear on this form: Any person who knowingly presents false or fraudulent information to obtain or amend insurance coverage or to make a claim for the payment of a loss is guilty of a crime and may be subject to fines and confinement in state prison.

Notice to Colorado Applicants: It is unlawful to knowingly provide false, incomplete or misleading facts or information to an insurance company for the purpose of defrauding or attempting to defraud the company. Penalties may include imprisonment, fines, denial of insurance and civil damages. Any insurance company or agent of an insurance company who knowingly provides false, incomplete, or misleading facts or information to a policyholder or claimant for the purpose of defrauding or attempting to defraud the policyholder or claiming with regard to a settlement or award payable for insurance proceeds shall be reported to the Colorado Division of Insurance within the Department of Regulatory Agencies.

Notice to District of Columbia and Louisiana Applicants: "Any person who knowingly presents a false or fraudulent claim for payment of a loss or benefit or knowingly presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison."

Notice to Florida Applicants: Any person who knowingly and with intent to injure, defraud or deceive any insurance company, files a statement of claim containing any false, incomplete, or misleading information is guilty of a felony of the third degree.

Notice to Oklahoma Applicants: Any person who knowingly, and with intent to injure, defraud or deceive any insurer, files a statement of claim containing any false, incomplete or misleading information is guilty of a felony.

Notice to Kansas Applicants: An act committed by any person who, knowingly and with intent to defraud, presents, causes to be presented or prepares with knowledge or belief that it will be presented to or by an insurer, purported insurer, broker or any agent thereof, any written statement as part of, or in support of, an application for the issuance of, or the rating of an insurance policy for personal or commercial insurance, or a claim for payment or other benefit pursuant to an insurance policy for commercial or personal insurance which such person knows to contain materially false information concerning any fact material thereto; or conceals, for the purpose of misleading, information concerning any fact material thereto.

Notice to Maine, Tennessee, Virginia and Washington Applicants: It is a crime to knowingly provide false, incomplete or misleading information to an insurance company for the purpose of defrauding the company. Penalties may include imprisonment, fines and/or denial of insurance benefits.

Notice to Maryland Applicants: Any person who knowingly or willfully presents a false or fraudulent claim for payment of a loss or benefit or who knowingly or willfully presents false information in an application for insurance is guilty of a crime and may be subject to fines and confinement in prison.

Notice to New Hampshire Applicants: Any person who, with a purpose to injure, defraud or deceive an insurance company, files a statement of claim containing any false, incomplete or misleading information is subject to prosecution and punishment for insurance fraud as provided in RSA 638:20.

Notice to New York Applicants: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information, or conceals for the purpose of misleading, information concerning any fact material thereto, commits a fraudulent insurance act, which is a crime, and shall also be subject to a civil penalty not to exceed \$5,000 and the stated value of the claim for each such violation.

Notice to Pennsylvania Applicants: Any person who knowingly and with intent to defraud any insurance company or other person files an application for insurance or statement of claim containing any materially false information or conceals for purposes of misleading, information concerning any fact material thereto commits a fraudulent insurance act, which is a crime and subjects such person to criminal and civil penalties.



100 William Street, 5th Floor, New York, NY 10038

U.S. TREASURY DEPARTMENT'S OFFICE OF FOREIGN ASSETS CONTROL ("OFAC") ADVISORY NOTICE TO POLICYHOLDERS

No coverage is provided by this Policyholder Notice nor can it be construed to replace any provisions of your policy. You should read your policy and review your Declarations page for complete information on the coverages you are provided.

This Notice provides information concerning possible impact on your insurance coverage due to directives issued by OFAC. **Please read this Notice carefully**

The Office of Foreign Assets Control (OFAC) administers and enforces sanctions policy, based on Presidential declarations of "national emergency". OFAC has identified and listed numerous:

- Foreign agents;
- Front organizations;
- Terrorists;
- Terrorist organizations; and
- Narcotics traffickers;

as "Specially Designated Nationals and Blocked Persons". This list can be located on the United States Treasury's web site – <http://www.treas.gov/ofac>.

In accordance with OFAC regulations, if it is determined that you or any other insured, or any person or entity claiming the benefits of this insurance has violated U.S. sanctions law or is a Specially Designated National and Blocked Person, as identified by OFAC, this insurance will be considered a blocked or frozen contract and all provisions of this insurance are immediately subject to OFAC. When an insurance policy is considered to be such a blocked or frozen contract, no payments nor premium refunds may be made without authorization from OFAC. Other limitations on the premiums and payments also apply.